

LEARNING UNIT 1

FORENSIC AUDIT REPORTING

TOPIC 1.1

Types of reports and audience

	Learning outcomes After working through this topic, you should be able to: • differentiate between the forensic accounting disciplines and, in particular, the types of reports that each discipline issues • differentiate between the approach/attitude followed by the forensic accountant/auditor as opposed to that of a statutory auditor
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There are different functions that may be performed by professionals engaging in forensic services relating to economic crime. You have probably heard of functions performed by forensic accountants and forensic auditors. But, how do they relate to and differ from each other? And, how are they similar to or different from external auditors, also known as statutory auditors?

1. The forensic accountant

According to Crumbley, Heitger and Smith, the forensic accounting profession and its pioneers date back to 1554.ⁱ

Forensic accounting, as a relatively new profession, has attracted diverse definitions.

Definitions of forensic accounting and forensic accountants The definition of Crumbley, Heitger and Smith states: “Forensic Accounting is the action of identifying, recording, settling, extracting, sorting, reporting, and verifying past financial data or other accounting activities for settling current or prospective legal disputes or using such past financial data for	
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projecting future financial data to settle legal disputes.”ⁱⁱ

According to the AICPA committee:

“Forensic Accounting Services generally involve the application of special skills in accounting, auditing, finance, quantitative methods, certain areas of law and research, and investigative skills to collect, analyze, and evaluate evidential matter and to interpret and communicate findings, and may involve either an attest or consulting engagement.”ⁱⁱⁱ

Bologna, Lindquist and Wells define Forensic Accounting as: “Forensic and investigative accounting is the application of financial skills and an investigative mentality to unresolved issues, conducted within the context of the rules of evidence. It encompasses financial expertise, knowledge of fraud, and a strong knowledge and understanding of business reality and the working of the legal system”.^{iv}

Wikipedia, the free encyclopaedia, states:

“Forensic accountants are experienced auditors, accountants, and investigators of legal and financial documents who are hired to look into possible suspicions of fraudulent activity within a company; or are hired by a company who may just want to prevent fraudulent activities from occurring. They also provide services in areas such as accounting, antitrust, damages, analysis, valuation, and general consulting. Forensic accountants have also been used in divorces, bankruptcy, insurance claims, personal injury claims, fraudulent claims, construction, royalty audits, and tracking terrorism by investigating financial records. Many forensic accountants work closely with law enforcement personnel and lawyers during investigations and often appear as expert witnesses during trials.”^v

Read the accounting glossary from VentureLine: “Accounting Terms – Accounting Dictionary - Accounting Glossary” for the definition of forensic accounting at: <http://www.ventureline.com/accounting-glossary/f/forensic-accounting-definition/>



Read

Read the following article and extract that describe the unique nature of forensic accounting assignments. They contain very accurate descriptions of what the work of a forensic accountant entails.

	Article 1: “Forensic Accounting”. Report posted on the website of Investopedia, https://www.investopedia.com/terms/f/forensicaccounting.asp Extract 1: Extract from “Forensic Accounting Demystified” by Alan Zysman http://www.forensicaccounting.com/one.htm#start
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	Key concepts “Forensic accountants need an understanding of accounting, criminology, law, and investigative auditing techniques ... and ... computer knowledge in all four areas”^{vi} (Crumbley, Heitger & Smith: 2-3).
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2. The forensic auditor

According to Crumbley, Heitger and Smith (14-25), forensic audits are described as follows:

“Forensic Audits have not been defined by the accounting profession but they have been discussed in several white papers. The concept is considered to be the application of a forensic investigative approach where traditional internal controls under a financial audit are not effective in controlling financial frauds. For our purposes, a forensic audit is the process of applying investigative methodologies and technologies by an independent entity to obtain an understanding of the underlying economic risks facing an organisation.”

“The results of a forensic audit are a report, not an opinion ... The report should contain recommendations for action, and it should be addressed to the Board of Directors ... Depending on the severity of the conclusions reached in the report, the report can be used to take administrative, civil, and/or criminal legal action against identified corporate executives for unethical or fraudulent practices. If the outcome is a prosecution for fraud, all electronic evidence must be collected in a manner that makes it useable in a courtroom.”^{vii}

	Read Read the accounting glossary from VentureLine: “Accounting Terms – Accounting Dictionary - Accounting Glossary” for the definition of forensic audit at: http://www.ventureline.com/accounting-glossary/f/forensic-audit-definition/
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Key concepts

By implication, the difference between forensic accountants and forensic auditors may resemble the difference between an external auditor and an internal auditor.

In this module, we use the terms 'forensic accountant' and 'forensic auditor' interchangeably and, to the extent that it refers to a fraud investigative support role, it is intended to have a similar meaning. For further services rendered by the forensic accountant such as litigation support (as dealt with later in this module, specifically learning unit 2), the term 'forensic accountant' is more appropriate than 'forensic auditor'.

Crumbly, Heitger and Smith discuss the distinction between a forensic audit and a financial audit.^{viii} Referring to various sources, they list key differences between a forensic audit and a traditional audit.

As implied by the term 'forensic', the report of the forensic accountant reaches a different target audience than that of the independent auditor. Whereas the auditor reports to the shareholders, management, creditors and other financial stakeholders, the forensic accountant is involved in the settling of legal disputes in a public forum.

'Forensic' refers to items that are used in debate or argument, more particularly, in public debate or forum. In commerce or business, 'forensic' issues are generally those that relate to a legal forum or court.

To satisfy its intended purpose, the forensic accounting report addresses the expectations and requirements of the parties who usually operate in the legal forums or courts.



Key concepts

Simply, a financial auditor is an accountant who reports to other accountants (or those familiar with the financial industry). The forensic accountant reports first and foremost to a client, which may ultimately lead to a report to the legal industry (or those operating in that environment). Therefore, the report of the forensic accountant must be understood by and be useful to non-accountants.

3. Reports by the statutory auditor

	Key concepts The Companies Act, 71 of 2008, requires certain companies to have audited financial statements. This means, it is compulsory by law. A statutory auditor (also called an external auditor) is an independent person who expresses an opinion on the financial statements of a company, after having examined it in terms of prescribed auditing standards. In contrast, internal audit is discretionary and not prescribed by law. It is a function within the company (e.g., someone employed by the company or, in the case of external service providers, someone who is contracted to provide an internal audit function).
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The International Auditing and Assurance Standards Board (IAASB) is responsible for setting international auditing standards. The structure, format and contents of the independent statutory auditor report is prescribed in these auditing standards, namely International Standards of Auditing (ISA) 700 (Revised), which became effective for audits ending on or after 15 December 2016.

The statutory auditor is bound by the content of:

- ISA 700 (Revised), "Forming an Opinion and Reporting on Financial Statements"
- ISA 701, "Communicating Key Audit Matters in the Independent Auditor's Report"
- ISA 706 (Revised), "Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report"
- ISA 200, "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing"
- ISA 210, "Agreeing the Terms of Audit Engagements"
- ISA 560, "Subsequent Events"
- ISA 710, "Comparative Information-Corresponding Figures and Comparative Financial Statements"
- ISA 720, "The Auditor's Responsibilities Relating to Other Information in Documents Containing Audited Financial Statements"
- ISA 800, "Special Considerations-Audits of Financial Statements Prepared in Accordance with Special Purpose Frameworks"
- ISA 805, "Audits of Single Financial Statements and Specific Elements, Accounts or Items of a Financial Statement"

ISA 705 (Revised), "Modifications to the Opinion in the Independent Auditor's Report", provides for three types of modified opinions, which include a qualified opinion, an adverse opinion, and a disclaimer of opinion.

4. Reports by the forensic auditor / forensic accountant

Since the forensic accountant may receive a wide variety of mandates, there is no single

report format that fits all requirements. If the matter is linked to an investigation of financial misconduct or is fraud-related, the typical format used is the Factual Findings Report (see Topic 1.4). Other mandates may require opinion reports (e.g. business valuations – see Topic 2.1).

The Factual Findings Report contains facts uncovered by forensic accountants and may include their interpretations and conclusions.

In a landmark case of its time in the United Kingdom (Kingston Cotton Mill – 1896), the judge ruled that the auditors were not liable for damages suffered by a company that were attributed to fraud that the auditors failed to uncover. The judge stated: “[The Auditor] is a watchdog but not a bloodhound.” In the current environment, the auditor is required to ‘maintain an air of professional scepticism’, constantly assessing the risk of being deceived by a client trying to conceal a material misstatement. The industry also responded with the introduction of the forensic auditor/accountant, who effectively became the ‘bloodhound’ referred to above.

Although forensic auditors rely on their knowledge and experience in regard to auditing, each area of investigation requires a specific approach.

	Activity To determine your understanding of the forensic auditing profession thus far, complete the activity below.
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Describe 15 areas in which the approach of the forensic auditor deviates from the standard audit approach with reference to the criteria listed below.

Criteria	Statutory audit	Forensic audit
Mandate and scope		
Materiality		
Interpretation of the term ‘evidence’		
Relevant experience in respect of fraud investigation		
Who performs fieldwork?		
Approach to assignment		
Disciplines of team members		
Target audience of report		
Budget		
Understanding of judicial environment		
Sampling and extrapolations		

Core disciplines applied / relied upon		
Level of scepticism		
Reliance on representations		
General attitude to clients' staff		

Feedback on activity



Key areas that you should consider are presented in the table below.

Criteria	Statutory audit	Forensic audit
Mandate and scope	Predetermined and regulated	Varying according to specific instruction
Materiality	Determined at onset of audit	Undefined, but could include non-financial materiality (e.g., reputation risk)
Interpretation of the term 'evidence'	Informal: audit findings need to be documented and supported	Formal interpretation in terms of the Criminal Procedure Act and laws of evidence
Relevant experience in respect of fraud investigation	Very limited	Specialised
Who performs fieldwork?	Junior auditors, especially audit clerks	At all levels, including partners
Approach to assignment	Predictable: guided by previous audits after reassessing business and risks	Unique to every matter depending on mandate and scope
Disciplines of team members	Accounting and auditing	Accounting, legal, human resources, computer specialists, investigative fields
Target audience of report	Shareholders, board members, management, financial media, creditors, etc.	Management, legal profession (prosecution, defence, judge or magistrate, police), general media, etc.
Budget	Predetermined (if findings of audit procedures necessitate further investigation, budget has to be re-negotiated)	Difficult to predict, according to specific instruction from client, normally subject to ongoing review, depending on outcomes
Understanding of judicial	Limited	Extensive

environment		
Sampling and extrapolations	Used extensively	Not used in general, but may be considered in phased-in investigations. Must be clarified and agreed upfront with the client.
Core disciplines applied / relied on	Accounting, auditing, taxation	Accounting/auditing, legal, investigative fields, computer forensics
Level of scepticism	Relatively low unless circumstances warrant otherwise	Constant alert: high level of scepticism
Reliance on representations	Acceptable unless grounds exist indicating the opposite	Every representation must be substantiated
General attitude to clients' staff	Professional and friendly	Cautious

 	Study You do not have to know the contents of each ISA, listed below, in detail, but it provides a good basis for you to understand the background and structure of forensic accounting/auditing letters of engagement and factual findings reports, which you are going to learn about in topics 1.2 -1.6. The list below includes a link to each standard, if you prefer to read the standard. You can also watch videos about these standards on the YouTube channel of Dr Amanda White, called “AmandaLovesToAudit”, available at: https://www.youtube.com/@amandalovestoaudit Search for each of these standards and make notes while watching the videos. Don't forget to study ➤ The content of this topic in this study guide ➤ ACFE Fraud Examiners Manual 2024 (pages 3.102 to 3.104) ➤ Articles and extracts on this topic List of applicable ISAs ➤ ISA 200 “Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing”, available at: ISA 200 ➤ ISA 210 “Agreeing the Terms of Audit Engagements”, available at: ISA 210
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 	➤ ISA 560 “Subsequent Events”, available at: ISA 560 ➤ ISA 700 (Revised) “Forming an Opinion and Reporting on Financial Statements”, available at: ISA 700 ➤ ISA 701 “Communicating Key Audit Matters in the Independent Auditor’s Report”, available at: ISA 701 ➤ ISA 705 “Modification to the Opinion in the Independent Auditor’s Report”, available at: ISA 705 ➤ ISA 706 (Revised), “Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor’s Report”, available at: ISA 706 ➤ ISA 710, “Comparative Information-Corresponding Figures and Comparative Financial Statements”, available at: ISA 710 ➤ ISA 720 (Revised), “The Auditor’s Responsibilities Relating to Other Information in Documents Containing Audited Financial Statements”, available at: ISA 720 ➤ ISA 800 (Revised), “Special Considerations-Audits of Financial Statements Prepared in Accordance with Special Purpose Frameworks”, available at: ISA 800 ➤ ISA 805 (Revised), “Audits of Single Financial Statements and Specific Elements, Accounts or Items of a Financial Statement”, available at: ISA 805
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Assessment question



1. Differentiate between a forensic auditor and a forensic accountant. (2)
2. Define the term ‘forensic accounting’. Explain its key elements and comment on its pioneers. (6)
3. Differentiate between a forensic audit and a statutory audit. (4)
4. Briefly comment on the perceived shortcomings of the formal tertiary training for an aspirant chartered accountant at pre- and post-graduation level in respect of the required knowledge base of the forensic accountant. (3)
5. Explain how the trainee forensic accountant can acquire the necessary knowledge base. (3)
6. Distinguish between the different types of reports issued by a statutory auditor. Compare these to the reports of the forensic accountant and comment on key differences and commonalities. (8)
7. Compare the typical users of an audit report with the users of a forensic accounting report and explain the key differences and user expectations. (6)

TOTAL (32)

Feedback on assessment question



1. Differentiate between a forensic auditor and a forensic accountant.

These terms are often used interchangeably and are not clearly defined in practice. The key difference is found in the distinction between the terms 'auditor' and 'accountant'. Generally, forensic auditors can be compared with internal auditors, who specialise in **proactive fraud auditing**. Forensic accountants are normally external to an organisation and provide a **full array of services in both criminal and civil environments**. (2)

2. Define the term 'forensic accounting'. Explain its key elements and comment on its pioneers. (6)

'Forensic' relates to the **judicial environment in a disputed matter**, be it either criminal or civil. Forensic accountants are, therefore, accountants who undertake their work in a manner that is **suited for later testimony**, as an **expert**. In particular, refer to paragraph 1001 of Crumbley, Heitger and Smith.^{xiv}

Crumbley, Heitger and Smith comment on the pioneers in paragraphs 1031 and 1051, tracing back to the **first contributors to the profession in 1554** and through to modern day pioneers that include **Maurice E Peloubet** (1946) and **Max Lourie** (1953).^{xv} (6)

3. Differentiate between a forensic audit and a statutory audit. (4)
(See Crumbley, Heitger and Smith paragraph 1001: "Distinction between Forensic Audit and Financial Audit."^{xvi})

The role of a forensic audit is to apply **specialised forensic accounting techniques** to a **disputed matter**. The purpose of a statutory audit is to plan and execute an audit to provide **reasonable assurance** in support of the audit opinion, as it relates to the **fair presentation** of the annual financial statements. (4)

4. Briefly comment on the perceived shortcomings of the formal tertiary training for an aspirant chartered accountant at pre- and post-graduation level in respect of the required knowledge base of the forensic accountant. (3)

Formal tertiary training for an aspirant chartered accountant at pre-and post-graduation level focuses on accounting, auditing, management accounting and taxation. These disciplines form the core disciplines for forensic accountants (with emphasis on accountants). The formal syllabus **does not include criminology and law**, and provides very **limited input on practical investigative auditing techniques**. (3)

5. Explain how the trainee forensic accountant can acquire the necessary knowledge base. (3)

The trainee forensic accountant can overcome the above deficiencies by either **formally or**

informally studying legal topics, enrolling in specialised programmes, attending seminars and workshops, participating in the Association of Certified Fraud Examiners (ACFE) programme and **gaining practical experience**, especially through **interaction with other professionals**.

6. Distinguish between the different types of reports issued by a statutory auditor. Compare these to the reports of the forensic accountant and comment on key differences and commonalities. (8)

The types of reports issued by the statutory auditor are listed in this learning unit, under the heading, 'Reports by the statutory auditors'. The structure, format and contents of the independent statutory auditor report are prescribed in **ISA 700**. The forensic accountant writes either a **Factual Findings Report** or an **expert opinion** report.

The key difference relates to the purpose (**statutory requirement** vs resolution of a **disputed matter**), the **methodology** (as listed in Crumbley, Heitger and Smith paragraph 1001 "Distinction ...") ^{xvii} and the **target audience** (financial environment vs legal environment).

Commonalities relate to formal reports drafted by professionals that are **subject to input from governing bodies and other regulations**. (8)

7. Compare the typical users of an audit report with the users of a forensic accounting report and explain the key differences and user expectations. (6)

Users of audit reports include **management, shareholders, boards of directors, creditors and financial media**, who **rely on independent** professionals to **provide an opinion on financial affairs**.

Forensic accounting reports **are intended for ultimate use in a judicial forum** by professionals involved in that industry. They relate to **factual findings or expert opinions**. Forensic accounting reports are also **relevant to management and the media**, who require factual feedback on the disputed matter. (6)

LEARNING UNIT 1

FORENSIC AUDIT REPORTING

TOPIC 1.2

Client and engagement acceptance



Learning outcomes

After working through this topic, you should know:

- how forensic auditors/accountants and other experts are appointed
- what to look for when hiring a forensic accountant/auditor and other experts

Introduction

In topic 1.1 of this learning unit, you were introduced to the terms “factual findings report”, and “expert opinion report” as the two primary categories of forensic accounting reports, namely investigative (factual findings) reports and opinion (expert) reports. Both reports are **professional reports**, prepared by professionals and may be presented in a **judicial forum**, in support of their testimony. What is the difference then, you may ask?

It is important to understand where these reports (and possible resultant testimony) fit into the forensic investigation process (the bigger picture).

In this topic you will learn about the (mostly) administrative, but very important, process that precedes a forensic investigation. Before we can get to that part however, a clear understanding of the types of reports that you have learned about in topic 1.1 is key, as it will guide you before, during and after the investigation-depending on the objective of the investigation.

For practical purposes we will refer to a forensic investigation report as a factual findings report (throughout the module). This is the type of report most forensic accountants will encounter and become familiar with in their careers. Testimony (in most white-collar crime investigations) are of a factual nature, based on a **factual findings investigation**, which includes a complete report, based on examination of documentary evidence, consideration of interviews of witnesses and considering statements by related parties. The forensic accountant does not “witness” an offence, where he or she can testify directly. The vast majority **of testimony is based on analysis of documents** and other facts. In learning unit

2, where we focus on the practical aspects of a forensic accountant's testimony, we will refer to a forensic accountant who uses a factual findings report as the basis for his/her testimony as a **factual** witness. Simply put, a forensic accountant is not regarded as an expert witness (a term you may often hear), just because he/she performed a factual findings investigation. That makes him/her a factual witness.

Opinion reports will be referred to as expert reports in this module. An expert report is more subjective and relies on the professional judgement of the expert. You may be more familiar with the concept of an expert as someone who, for example, is a ballistics expert who has examined a firearm, a forensic pathologist who has conducted an autopsy on the deceased, or a chemist who has examined a blood sample. An expert is allowed to voice his opinions on facts that fall within the scope of his expertise, as illustrated in the examples above. The reason for this exception is that the knowledge and/or expertise of the expert on this specific subject qualify the expert to form a better opinion on the facts concerned than the court. Similarly the forensic accountant as an expert witness is entitled to express opinions on certain matters. The opinion of a forensic accountant who testifies as an expert witness should be documented in an expert report.

Opinions are (or should be) rare in factual findings reports. If they are offered, they must be restricted to financial interpretations well within the ambit of the forensic accountant's stated area of expertise. In financial statements, the forensic accountant may for example express an opinion about the appropriateness of the application of accounting standards or disclosures and similar matters. Or, a qualified chartered accountant (SA) and certified fraud examiner who testifies as a factual witness (based on a factual findings investigation) would be allowed to offer his/her interpretation of the facts as it relates to his/her area of expertise.

To conclude, if you are called to testify in a criminal matter, your testimony may be considered 'expert testimony' or 'factual testimony', depending on your involvement in any matter. The key difference is that, for experts, your opinion may be asked (relating to your area of expertise), where the opinion of a factual witness is irrelevant and not wanted.

When we look more closely at preparing and reviewing a report in topic 1.4, the focus will be on a factual findings report (again, as this is the type of report you are more likely to engage with in your career), and not on an expert report.

Learning unit 2 provides further clarity on the subject of expert witnessing and general guidance on the complexities of giving evidence and how to avoid numerous pitfalls (principles which may be applied whether you are testifying as an expert or factual witness).

When you work through the study material in this module, always consider the context in which the word "expert witness" is applied, as it depends on the source of the information or the nature of the scenario-ask yourself if what you read is strictly applicable to expert witnessing as defined above, or if it can be applied universally to factual testimony as well.

Pre-engagement considerations and activities

There are many forensic accounting service providers available to the prospective clients. In the South African market, the majority of assignments originate from the public sector.

The public sector is bound by legislation and related procurement regulations. This limits the personal discretion of the "buyer". Prospective service providers, typically, respond to tender

invitations or apply to be included on “panels”, where they might be requested to provide a quotation on invitation. In the public sector, procurement decisions are generally made on BEE status and price. Applicants for assignments are potentially eliminated from the quotations, where the purchaser sets strict specifications for “functionality”, where only those who comply, will be considered for price.

Often, however, the appointments of forensic auditor/accountants are made using the exception provided for under section 16A 6.4 of the Treasury Regulations, usually citing the sensitivity or the urgency of the matter as motivation for the appointment of “single quote service providers”.

The private sector is not regulated in this manner and the client will have to source his or her own service provider, depending on their unique needs.

Large corporate entities have regular requirements for forensic accounting services and have preferences based on years of experience and prior relationships. They would not use the Yellow Pages to find forensic auditor/accountants. If unsure, such companies may contact their auditors for the appointment or, where this is restricted, ask their advice.

For litigation matters, however, the client would contact their attorneys, who, in turn, would appoint or recommend forensic auditor/accountants or other expert witnesses. The attorneys are influenced by their collective experience and prior relationships.

Ironically, it is not unusual for an attorney to recommend the services of a forensic auditor/accountant who has “opposed” that attorney on a previous occasion, if the attorney respects the quality of the service rendered by the forensic auditor/accountant on the previous occasion (this demonstrates that the pressure that attorney placed on the forensic auditor/accountant during cross-examination phase of his or her testimony was not a personal attack, but a professional requirement).

Because there are few forensic auditor/accountants who testify regularly, they are generally well known, especially in the legal circles.

For first-time users of forensic accounting services, the prospective client may use the internet to find suitably qualified service providers. Many firms, which offer such services, promote themselves extensively and aggressively on their web pages and in any articles they may publish on the internet or in legal or accounting journals.

An example of such a website is referred to in the “Read” section below, from which some practical and topical advice was solicited. The reproduced section was essentially extracted from the marketing material of Sobel & Co’s Forensic Accounting and Litigation Support Services Group (refer to the quoted website). It is clear from the context that this firm targets its marketing to the legal fraternity, because, in the USA, most appointments are made by the attorneys (the motivation for this practice is to gain strategic protection against disclosure, using attorney-client privilege rules).

The advice offered by this firm is sound. The client should consider practical and strategic factors, including reputation, qualifications, costs and so forth.

Remember, this content is also applicable to non-experts conducting an investigation to

establish the relevant facts. Therefore, it is equally applicable to forensic auditors, who will not necessarily be expressing an expert opinion.

Read the practical advice offered by Sobel & Co's Forensic Accounting and Litigation Support Services Group, as extracted from their guidebook, *Considering a forensic auditor/accountant: What you need to know*, reproduced below.^{ix}



Welcome to the Sobel & Co.'s guide for selecting a forensic auditor/accountant. We put this book together because we have often been asked so many of the same questions by attorneys like you.

You might be surprised to know that the issues you face are really common concerns that your colleagues are grappling with as well! We believe that Sobel & Co. is well positioned to address these critical issues and we are confident that the information in this book will provide new insights and ideas for you to consider when you need to engage a forensic accounting/litigation support firm.

Our goal in preparing this guide is to provide you with a quick reference resource you can depend on.

Questions you should consider when hiring a forensic auditor/accountant

1. Who should I retain?
2. What can they do for my client and where can they add value?
3. When should I bring them into an engagement?
4. Why do I need outside professionals?
5. How do I control costs?



1. Who should I retain?

Choosing the right firm can be a difficult decision and a misstep can be very costly for you and your client. Here are some key points to consider as you make your selection.

1. First and foremost, ask for a referral from someone you trust, who can suggest a firm with the competencies you seek. This is a highly specialized area and the success of your case may be impacted by the expertise, skills and experience of your forensic auditor/accountant.
2. Talk to business associates and other attorneys, who are currently working with a forensic auditor/accountant, to determine what their experience has been. Find out what they expected from the forensic accountant.
3. Seek out a forensic auditor/accountant who has an established track record. This is helpful, as it gives you some insight into their capabilities and provides a level of confidence.
4. Review the biographies of the firms' key personnel with an eye toward their experience and bona fides.
5. Check the credentials and designations of the firms you are considering to determine their status in the profession.

2. What can they do for my client?



Determining what the fraud and forensic auditor/accountant will do for you and your clients – and identifying where they add most value is critical. Any forensic auditor/accountant you work with should help you in very specific ways and provide you with the information you need to deliver unparalleled service to your clients.

The forensic auditor/accountant should be able to offer valuable litigation support services, which, under your guidance and direction, should include:

1. Conduct on-point interviews
2. Deliver summary reports
3. Supply computerized analytical analysis utilizing data extraction technology, organizing and manipulating large masses of data into a manageable and an understandable work product
4. Analyze the data and verify the information presented to you by your adversary
5. Provide in-house computer forensics
6. Manage complex investigations and act as the clearing house for all critical data
7. Offer organizational, as well as analytical, services to integrate all aspects of the engagement in a seamless fashion

3. When should I bring them into the engagement?

This question really has only one right answer: a forensic auditor/accountant should be brought in at the earliest possible moment! You should begin your search for a forensic auditor/accountant at the point in time that you recognize the need or the potential need for their services.

We have found that the sooner the forensic auditor/accountant is integrated into your team, the more quickly we will be able to gather and review the data, offer insights and suggestions and assist you with developing your case theories. Waiting can only impede the process and delay you from getting the results you and your client need to prevail.

4. Why do I need outside professionals?

Like all service professionals, attorneys – even the most seasoned and experienced – are limited to the unique knowledge they have gained as a result of their education, experience and training. Therefore, in order to best serve your clients, you occasionally need to utilize outside experts. Bringing in a world class forensic accounting team adds value and support as they diligently assist counsel in working effectively and efficiently.

5. How do I control costs?

Outside professionals can be expensive! Controlling their costs is a critical issue for you and your client. When it comes to outside professionals, it is fundamentally untrue that the most expensive is always the best. Here are some suggestions on how you can control costs when engaging outside professionals:

1. Identify and interview firms that have both the qualifications you seek and a fee structure that you and your client consider



reasonable. You should carefully examine all fees before making any decision.

2. Create a budget. When working with any forensic auditor/accountant, you should develop a budget. Whether an engagement is structured as a fixed amount or as a “not to exceed” engagement, a budget can be an effective tool for controlling costs.
3. Insist on feedback along the way. Whether the budget is fixed or open-ended, you should receive regular updates on the progress of the engagement and be kept apprised of any impact on the budget.
4. Consider phased engagements where the scope of the work can be broken down into manageable components.

The above extract is clearly based on an American environment, where the forensic accounting industry has a different emphasis. In the USA, a far greater percentage of forensic accounting assignments are utilised in the civil forum. The USA is considered “litigation friendly”, from the perspective that there are many more civil disputes. In the USA, most forensic auditor/accountants are hired by attorneys. The situation in South Africa is different.

Most forensic accounting assignments in South Africa relate to the criminal environment, where the forensic auditors/accountants conduct investigations and present their findings in support of the criminal prosecution. Forensic auditors/accountants are appointed either by the complainant or by law enforcement agencies. The nature of the reports remains essentially factual findings with little scope for opinions.

In countries like the USA and UK, the FBI (and other law enforcement agencies) and Scotland Yard, respectively, have significant internal accounting capabilities, which is not the case in South Africa.

The appointment of a forensic auditor/accountant, however, is a contract between two parties: the prospective client and the prospective service provider. There is no guarantee that if a forensic auditor/accountant is approached for an appointment that it will succeed.

The forensic auditor/accountant will have to consider many factors before accepting an assignment. These could include the following:

1. Do I have a conflict of interest which prohibits me from accepting the assignment?
2. Do I have sufficient time available to accept the assignment within the prescribed timeframe, including availability of support staff, where necessary?
3. Do I have the necessary qualifications and experience to fulfil the expectations of the assignment and the client?
4. Am I comfortable with the reputation of the instructing client and do I want to be, or do not want to be associated with them?
5. Do I believe in my client’s case?

	Reflect Reflect on when you believe that the training and experience of a forensic auditor/accountant is sufficient, or when you have learnt enough. Comment on reflection The challenge (and the beauty) of the forensic accounting industry is that the forensic auditor/accountant never stops learning. The industry is developing rapidly, providing enormous scope and opportunities for forensic auditors/accountants. The more experience the forensic auditor/accountant has acquired, the greater his or her credibility in court. A practising forensic auditor/accountant never stops learning, because each case is unique and each experience enriches him or her.
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Industry standards

The Association of Certified Fraud Examiners (ACFE) South African chapter and the Institute of Commercial Forensic Practitioners (ICFP) both recently published standard practices and professional standards respectively, relating to the topic of client and engagement acceptance.

	Read Click on the links below, read the documents and compare the content of these publications what you have learned in this topic. ACFE: Standard Practices ACFE (click on the “<i>Standard practices for investigative and forensic accounting engagements</i>” document, published by the ACFE). ICFP: Professional Standards ICFP (click on the “<i>Client and engagement acceptance standards</i>” document, published by the ICFP).
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	Study The content provided in this study guide (including links to external sources).
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Assessment question



REQUIRED

1. Assuming that you are a newly qualified forensic auditor/accountant, who aims to succeed in private practice, write a memorandum to your business partner, recommending how you should advertise and promote your services. (15)
2. Explain the typical scenarios in which the services of a forensic auditor/accountant other expert may be useful and/or essential. (5)

Feedback on assessment question



1. Assuming that you are a newly qualified forensic auditor/accountant, who aims to succeed in private practice, write a memorandum to your business partner, recommending how you should advertise and promote your services.

The question requires you to present your answer in memorandum format, which will earn you **three marks for the format**, which includes **date, topic, author, recipient** and **closure**. These matters are self-explanatory and will not reproduced here.

The content section of the memorandum could be based on the principles documented below, but presented in a suitable format:

- a. Establish a **professional-looking website**, which introduces your practice, partners, contact details and services offered. This website could be linked to other relevant websites to add value. Such a website should also contain downloadable sections offering guidance, “free advice”, articles you may have published, etc. (e.g., the extract from Sobel & Co’s website, reproduced earlier in this topic).
- b. **Apply for and register on as many supplier databases** as possible. In the public sector, services are procured from approved vendors included in the supplier’s database, where the listed entities are invited to provide a quotation on a rotational basis.
- c. **Become known in the industry**. Attend seminars, sponsor events, publish articles and present workshops. All of these will create awareness of you as individual and your firm as a “player in the industry”.
- d. **Advertise in the Yellow Pages** and on the internet. When a prospective client does not know any potential service provider, he or she might consult these sources.
- e. **Network, network, network**. This industry is dominated by personal contacts and every opportunity should be utilised.
- f. **Develop an area of specialisation and excel in it**. This might require the firm to hire a recognised expert, who may have an entrenched client base, which might follow.
- g. **Ensure your compliance with national procurement** priorities (appropriate BEE participation at all levels)

- h. **Apply to be mentored by an established practice**, because, as a new (relatively inexperienced) firm, you are unlikely to attract large assignments. Obtain exposure to these projects through the mentorship programme.
- i. **Hire appropriate staff** and invest in their professional development. The success of the firm is dependent on the quality of its members.
- j. **Invest in your practice**. Do not be greedy. Limit your salaries to the minimum. Remain affordable and do not expect to become rich overnight. Surpluses should be retained in the entity to provide for its development.

(You will receive 2 marks for each of these factors, to a maximum of 15 marks.)

2. Explain the typical scenarios in which the services of a forensic auditor/accountant other expert may be useful and/or essential.

Forensic auditors/accountants render a compelling service in matters which are **financially complex** and **highly specialised**. In most cases where a matter needs to be unravelled with a significant number of documents, the state will request that a forensic auditor/accountant be appointed.

All allegations of **financial statement fraud** depend on the testimony of a forensic auditor/accountant.

In **civil matters**, which rely on **interpretation of financial information** and results, forensic auditors/accountants are almost always appointed.

(5 marks)

LEARNING UNIT 1

FORENSIC AUDIT REPORTING

TOPIC 1.3

Letters of engagement

	Learning outcomes After working through this learning unit, you should be able to: • demonstrate your understanding of the relevance of issuing a Letter of Engagement (also known as an Engagement Letter) at the commencement of a professional relationship • explain the content of such a letter • identify and avoid the pitfalls of not formalising the relationship • criticise a Letter of Engagement in a practical scenario
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Now that you know which factors to consider before the acceptance of an engagement, it's time to learn how to enter into an agreement with a client, by concluding a Letter of Engagement.

A Letter of Engagement defines the legal relationship (or engagement) between a professional firm (e.g., a law, investment banking, consulting, advisory or accountancy firm) and its client(s). This letter states the terms and conditions of the engagement, principally addressing the scope of the engagement and the terms of compensation for the firm.^x	
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Most Letters of Engagement have a standard format. The example below sets out the contents of a Letter of Engagement of an accountancy firm:

- **Addressee:** Normally addressed to the senior management (e.g., the CEO) of the

client.

- *Identification of the **service** to be rendered:* One type of service is a financial statement audit. A brief description of the nature of this particular service is provided in this section. Other services that are planned for the audit (e.g. evaluation of internal control, preparation of regulatory reports) are also identified in this section.
- *Specification of the **responsibilities** of the auditor of the company:* This section refers to the specific professional standards and responsibilities of the auditor.
- ***Constraints** on the accounting firm:* For example, timing of access to client facilities and accounting records may delay the engagement.
- ***Deadlines:*** This section sets out the estimated date of completion and release of the financial statements and the general guidelines for the timing of the audit work.
- *Description of any **assistance** to be provided by the client:* Normally, the client's personnel prepares certain schedules (e.g. bank reconciliations) and retrieves documents from files. The Engagement Letter should describe the assistance required from the client's personnel. If this assistance is not provided and the auditors must complete the work themselves, this section of the letter would provide justification for additional fees to the client.
- *Interaction with **specialists**, **internal auditors** and the **predecessor auditor** needed to conduct the audit:* Specialists needed on an audit may include: engineers to verify the stage of completion of electronic components; real-estate appraisers to appraise realisable value of real estate used as collateral for loans; actuaries to evaluate the funding requirements and future cash flows associated with pensions or post-retirement health costs; and attorneys to evaluate the likely disposition of contingent losses arising from litigation.
- ***Disclaimer:*** This describes the limits of the audit. Normally, this expresses that an audit is not designed to detect all forms of fraud or illegal acts; rather, an audit checks the financial position of a client with reference to generally accepted accounting principles.^{xi}
- *Description of the basis for **fees**:* This may include a fixed fee or an estimate of fees based on expected completion time and the billing rates of employees assigned to the engagement.
- ***Ownership and accessibility** of the auditor's files to external parties.*

1. Terms of a Letter of Engagement

The terms of an engagement when an auditor performs services such as forensic investigations are described in the International Standards on Related Services (ISRS) 4400 re Agreed-Upon Procedures Engagements.

See: <https://www.ifac.org/publications/international-standard-related-services-isrs-4400-revised>

2. Forensic accounting perspective

In forensic accounting, the Letter of Engagement is vital. Unlike financial audits, in which the auditor may have an existing relationship with the auditee, a forensic accounting assignment or mandate may represent a once-off appointment to address a specific issue. It is very important, especially if there is no prior relationship between the forensic

accountant and the instructing client, to document the understanding of the parties, the tasks assigned, the limitations of the task and other related matters.

1. The Letter of Engagement documents the understanding of the forensic accountant regarding the mandate received from the instructing client.
2. The Letter of Engagement invites the client to correct any misconceptions or misunderstandings while this letter is still in draft form.
3. The Letter of Engagement initiates a professional relationship between the parties.
4. The Letter of Engagement sets out the limitations of the assignments.
5. The Letter of Engagement provides for the reporting requirements.
6. The Letter of Engagement sets out the fee structures.
7. The Letter of Engagement invites the client to accept the contractual agreement formally.

If there is no formal confirmation of instructions (as set out in the Letter of Engagement) or documentation of reporting requirements, fee issues, etc., there is a significant risk of misunderstanding that may lead to frustration and conflict between the instructing client and the forensic accountant.

In a new relationship, it is important that the Letter of Engagement is issued before the fieldwork commences. At the end of the letter, confirmation is requested that the signatory (representing the instructing client) is duly authorised to accept the terms of engagement. The Letter of Engagement, therefore, forms part of a contractual relationship that binds and protects both parties.

In practice, there are many inherent uncertainties associated with an investigation, and both the forensic accountant and the instructing client will respond to new developments as the case unfolds. It is not uncommon, therefore, for the client to issue further instructions that have an impact on the mandate and the scope of the assignment. As provided for in the standard text of the original Letter of Engagement, it is advisable to obtain written confirmation of any changed instruction (e.g., 'Any deviations from our original mandate will be confirmed in writing upon your written instructions').

Uncertain events make it almost impossible to predict accurately the cost of an investigation. It is akin to one phoning a car dealership and enquiring about the cost of a car, without giving any specifications. A flippant response, which might be the most appropriate, could be: "How long is a piece of string?" To overcome this difficulty, it is practice to provide the hourly rates of the individuals who are to be deployed on the assignment and to ascertain the basis for recovering the cost of any disbursements necessarily incurred. A further alternative that may be mutually beneficial is to present a budget for the initial review that will not be exceeded without the specific consent of the instructing client.

An aspect that is impossible to predict at the onset of an investigation is whether any remedial action will be taken that may require your testimony. Since these factors (especially the time that will be required) are totally beyond the control of the forensic accountant, it is unreasonable to request an accurate cost prediction. Accordingly, most Letters of Engagement will specifically exclude the cost of such testimony.

The issue of a Letter of Engagement is an important phase of a new relationship. The forensic accountant must guard against any temptation or instruction to commence the

assignment immediately due to the stated urgency of the matter at the expense of completion of the administrative necessities.

Disputes can and do arise. A Letter of Engagement should, therefore, address this risk and propose dispute resolution alternatives. This is usually covered by the following insertion: 'Any claims of negligence or disputes involving any of the parties hereto may, as an alternative to litigation, be determined by arbitration to be conducted in accordance with the provisions of the Arbitration Act, No 42 of 1965.'

In many practical examples, the client assigns one of their own staff members to work with the forensic accountant in the investigation. This practice has the advantage of facilitating skills transfer to the individual assigned to the task and could reduce the cost for the client, but it poses a number of inherent difficulties. Since the assigned staff member is not employed by your office, he/she does not fall under your disciplinary control, which could negatively affect the quality of the work.

A more significant risk, however, arises in situations in which the individual compromises the integrity of the investigation. If, for example, the individual were to obtain evidence that could be classified 'inadmissible', and this evidence influenced the course of the investigation, the entire case could be compromised ('fruits of the poisoned tree').

Usually, a Letter of Engagement specifically states: 'We will limit our investigative efforts to the legal and legitimate acquisition and collection of admissible evidence.' The forensic accountant should be aware of these risks and manage them accordingly.

Because the Letter of Engagement has the status of a contractual agreement, normal contract-signing practices should be applied, including signing and witnessing every page and initialling any alterations.

It is not essential for a new Letter of Engagement to be issued for every new instruction from an existing client. It is advisable, however, that the new instruction is confirmed in writing, and reference is made to the terms and conditions of the original Letter of Engagement in this correspondence.



Read

Winning the case with a strong written report: Part 2 by the ACFE is reproduced below. For purposes of this topic, only the discussion on engagement contracts is included in this extract. See topic 1.4 for the remainder of the article.

Winning the case with a strong written report: Part 2

FRAUD BASICS

The savvy fraud examiner includes signed statements, visual aids, summaries of

witnesses' statements and the engagement contract in the written case report.

Fraud cases can be won or lost on the strength of the written report. In the September/October issue of The White Paper, we reviewed the basic mechanisms of a strong report, described reporting mistakes, showed how to organize a report, and discussed reader analysis. In this issue, we cover signed statements, visual aids, summaries of witnesses' statements, and elements of the engagement contract.

1. Engagement Contracts

Certified Fraud Examiners are hired sometimes for specific engagements. Prepare an Engagement Letter so that you and the client have a clear understanding of the objectives of the assignment. If the terms of the engagement are defined in a contract, any later dispute becomes easier to resolve.

According to the Code of Professional Ethics, a Certified Fraud Examiner:

- ☐ will accept only assignments for which there is a reasonable expectation that the work will be completed with professional competence;
- ☐ will obtain evidence or other documentation to establish a reasonable basis for any opinion rendered; and
- ☐ will disclose all material matters discovered during the course of an examination, which, if omitted, could cause a distortion of the facts.

The Engagement Letter should be written with these standards in mind. The first question you must answer in preparing a contract is: Who is my client? Have I been engaged by the plaintiff, the defendant or the counsel? Often, the Engagement Letter will be addressed to attorneys. This can be either corporate or outside counsel.

There are two primary forms of engagement contract letters: the long form and the short form. The long form spells out the details of what examination techniques one intends to follow while the short form does not.

1.1 Elements of the Engagement Contract Letters

Engagement Letters have four basic parts: opening, body (long or short), terms, and close. In the opening paragraph state the purpose of the engagement. Be specific as to whether the letter is an engagement or a proposal letter. The body of the letter will follow either the long or short form.

1.2 The Long Form

The long form is similar to an Engagement Letter prepared for specific scope examinations performed by auditors. The examiner describes the procedures in detail and limits the scope of an examination to the procedures defined. It is not recommended for use in engagements requiring the investigation of fraud allegations and a concluding opinion on the existence of fraud.

At the onset, the examiner might not know what procedures will be necessary to resolve the allegation. Consequently, it is difficult to describe, with any precision, the anticipated procedures before the examination begins.

1.3 The Short Form

The short form Engagement Letter outlines the general scope of the engagement. For example, it might describe that the services will include an investigation of a fraud allegation received over the hotline, or by an anonymous tip, or an audit anomaly. The short form also might confirm that the examiner has access to any personnel or documentation deemed necessary to carry out the assignment. This type of Engagement Letter is best used for work that ultimately will require an opinion on a fraud allegation. Because the examiner will not know the nature of the alleged fraud at the onset, it is best to not limit the examination's scope.

1.4 Terms

The terms paragraph includes the fee, either flat rate or hourly, and the method of payment. This is an excellent time to ask for a retainer and to describe the billing procedures. Also address the issue of out-of-pocket expenses. If travel is required, discuss the anticipated cost of travel and the number of trips.

1.5 Close

In the closing section, thank the addressee for the opportunity of working with him. Provide a telephone number where you can be reached and any special instructions, such as a pager and fax numbers. Ask the addressee to sign one copy, and return it in the envelope. Don't forget to supply a signature plate for the returned letter and a self-addressed stamped envelope.

1.6 Opinions

The Certified Fraud Examiner is often asked for an opinion about the existence of fraud. He or she might be engaged to perform fraud deterrence services or to resolve a fraud allegation.

In the former instance, the opinion will address the strengths and weaknesses of the client's current fraud deterrence system and include recommendations to strengthen that system. If specific instances of possible fraudulent conduct are uncovered, those also should be addressed.

In the latter situation, the examiner must know that the Certified Fraud Examiner Code of Professional Ethics reads that "no opinion shall be expressed regarding the guilt or innocence of any person or party".

In the cases in which a fraud examination has been conducted, the examiner has three outcomes: 1) evidence was obtained supporting the allegation of fraud, 2) evidence was gathered which does not support such an allegation, and 3) evidence was inconclusive. In the first instance, the opinions will vary depending on whether or not the perpetrator confessed to the alleged crime (remember though that it should never be the goal of the forensic investigator to extract confessions, but rather objective evidence to support his/her findings). In the second case, the examiner can state that the evidence does not support the fraud charge. The examiner is not able to declare that there was no fraud. In the final case, the examiner can state that the evidence is inconclusive; it neither supports nor refutes the allegation.

EXAMPLE



The following is an example of the structure, format, and content of a typical Engagement Letter. Take note that certain particulars of the Engagement Letter will change depending on the background of the client, the proposed mandate, and the internal policies of the specific forensic auditor/forensic firm. You should be able to draft a similar letter in a practical scenario such as an assignment or examination question using the information supplied.

When required to criticise an Engagement Letter in an assignment or examination question, please remember the following:

Criticise means to comment on any omissions (e.g., Does the Letter of Engagement include critical paragraphs such as the mandate/scope/fees, etc.?)

When criticising a Letter of Engagement, provide recommendations for improvement or corrections and consider the grammar and style of the letter as well as the accuracy of the content.

The following aspects should be heeded:

- ☐ The dates correspond throughout.
- ☐ The headings correspond throughout.
- ☐ The references to the services that are to be rendered are the same throughout.
- ☐ There are differences between certain paragraphs in a Letter of Engagement and a final report (e.g., differences in the paragraph regarding qualifications).

PO Box xxx
City/Town
Postal code

Date

Mr G Raffe
Director
LemonCreams (Pty) Ltd
Address

Dear Sir

LETTER OF ENGAGEMENT

With reference to our meeting this morning, we thank you for appointing us to assist your office with the investigation into alleged procurement irregularities.

This letter presents our understanding of the proposed terms of our engagement and the respective obligations and responsibilities between ZooCookie Forensic Auditors (ZooCookie) and LemonCreams (Pty) Ltd (LemonCreams) under the conditions and rates stipulated in this Letter of Engagement.

Any change in rates and/or conditions of appointment will be subject to written agreement by both parties.

Mandate and objectives of the investigation

We understand that your office has received a number of reports, through your fraud hotline facility, relating to alleged procurement fraud within the organisation. These reports implicate, *inter alia*, an employee, Mr E Lephant, and a supplier, GingerNuts (Pty) Ltd ('GingerNuts'). Furthermore, we understand that after subsequent investigation, you are convinced that the allegations are true.

The reports allege that the invoices from GingerNuts are in some instances inflated, while in other instances they are duplicated. It is our understanding that our mandate entails the following:

- ☐ to introduce any procedures required to investigate the alleged procurement fraud and to document the findings in a forensic accountant's Factual Findings Report suitable for any appropriate judicial forum, including, but not limited to, criminal, civil and disciplinary proceedings
- ☐ to liaise with the SAPS and other interested parties as appropriate
- ☐ to prepare appropriate evidence files
- ☐ to brief management and other interested parties as appropriate
- ☐ to testify, where required
- ☐ to attend to other matters that may be required relating to the above in accordance with your specific instruction

Books, records, documents and information required

In order to assist us in the efficient and effective conduct of the investigation, it will be necessary for us to have access to all relevant information in your possession or under your control. Should specific documentation be required, it will be requested from you.

We require your written authorisation to conduct enquiries on your behalf, to gain access to relevant premises, to take possession of relevant documentation, copies thereof and/or computer records, and to question, as required, any employee or other persons for the purpose of our assignments.

In the course of interviewing employees and third parties, we accept no liability for the dissemination of information that is confidential, provided such dissemination occurs in good faith and is essential for the proper execution of the assignment. Similarly, we do not accept any liability for the loss of original documentation for which you choose to retain control.

Scope of investigation and reporting

As instructed, we will conduct all investigations in co-operation with you and any members of your staff that you may wish to assign to the assignment. We shall verbally report back to you on progress and issue written progress reports.

Additional interim progress reports will be submitted, either at your request or when circumstances warrant such reports.

Should it become necessary to subcontract certain expertise, we will do so only after specific consultation and authorisation from you. The fee structures and tariffs of any parties subcontracted will be presented to you for prior authorisation.

Any deviations from our original mandate will be confirmed in writing, upon your written instructions. We will limit our investigative efforts to the legal and legitimate acquisition and collection of admissible evidence.

We undertake to conduct the assignments in the most cost-effective and expedient manner. In the event, however, of any regulatory or law enforcement authority being necessarily involved in the investigative decision-making or litigation process, we will not guarantee completion of the assignment or any portion thereof by any pre-determined dates.

The assignments will be conducted in the strictest confidence. No findings will be divulged to any third parties, without your express permission. We will report directly to you or your designated representative.

We understand that the client retains the right to terminate the assignment with the provision of seven days' written notice.

Staff assigned

The staff assigned to the assignment will be determined by the experience and expertise required to conduct the assignment effectively. Mrs R Hino will manage the assignments and may be contacted at 012 123 4567. Members of staff will be assigned to the investigation as the need arises.

Travel, subsistence and disbursements

We confirm that we shall be entitled to recover any reasonable and substantiated travel, subsistence and direct costs and disbursements that necessarily arise from the investigation. Any extraordinary costs to be incurred shall, as far as practicable, be authorised by you before being incurred.

We further confirm that we will be entitled to recover any of the following costs, should they be applicable:

- ☐ Any reasonable costs incurred by our firm as the result of the firm or its employees being subpoenaed or required to testify on the subject of the investigation for civil, disciplinary or criminal actions

- Any costs incurred by us, with your prior approval, to seek protection against disclosure of subpoenaed materials in the possession, custody or control of our firm
- Any reasonable legal costs that may be incurred by us in defending any claim that may arise as a result of the engagement other than costs arising from our negligence.

Fees

As with any investigation, it is impossible to predict accurately the cost of the investigation. We confirm that you have committed to a cost of R230 000.00 for an initial review to enable us to make considered recommendations regarding the possible extent of the investigation. Accordingly, we will not exceed R230 000.00, excluding disbursements and VAT, without your specific approval.

We will update you on a regular basis on the costs and the progress of the assignment. A schedule containing the rates of fees for the staff we believe may be required to fulfil your mandate is presented below.

Name	Position	Proposed rate
		R
Staff 1	Forensic Accountant	2 000
Staff 2	Senior Manager	1 750
Staff 3	Manager – Investigations	1 500
Staff 4	Senior Consultant	900
Staff 5	Consultant	750
Various	Investigative Support Specialist	500
Various	Administrative Support	250

Rates exclude VAT and disbursements.

Disbursements rates

Our disbursements charges are presented below.

Travel by road	R4.50 per km
Air travel	Actual cost – Economy
Accommodation	Actual cost – B&B (three-star equivalent) where possible
Per diem allowance	R250 per night for staff away from home
Searches – directorships, Registrar of Companies, deeds, etc.	R250 per search – sliding for volumes
Photocopies, printing, etc. (alternative to the above)	R1.50 per page
Colour printing	R3.00 per page

These rates are subject to an annual review in April and **exclude VAT**.

Qualifications

The client will provide the objectives and scope of the investigation. The required approach to the investigation to achieve the set objectives will be determined by us, including the necessary level and depth of the investigation.

Our independence in the conduct of this assignment cannot be limited by any party. Any restriction will require us either to qualify our report accordingly or to review our position in respect of this engagement. We reserve the right to terminate this mandate: if we are not granted access to persons, information and records pertinent to this assignment; if material misrepresentations are intentionally made by you or by persons under your control; or if a conflict of interest arises.

We confirm that, if deemed appropriate, we would be entitled to use the services of other specialists or firms under the conditions specified above.

We do not accept liability for any loss suffered by any third party, either directly or indirectly, that arises from the fulfilment of this mandate, except where liability is by law attributable to us.

The liability accepted by us in respect of the unlikely event of a negligence claim, while conducting this assignment, is limited to our fee.

Any claims of negligence or disputes involving any of the parties hereto may, as an alternative to litigation, be determined by arbitration conducted in accordance with the provisions of the Arbitration Act, No. 42 of 1965.

I hereby confirm that I am not aware of any conflict of interest that would compromise our assignment.

Should you require any further information, please do not hesitate to contact me. I look forward to your response.

If you are in agreement with the contents of this document, please sign the enclosed copy and return it to us at your earliest convenience.

Yours sincerely

Mr P Anda
Managing Director

I hereby confirm that I am duly authorised to accept the terms of this engagement.

Signature

Position

Date

On behalf of LemonCreams (Pty) Ltd



Study

- The content of this topic in this study guide
- International Standards on Related Services (ISRS) 4400 available from:
<https://www.ifac.org/publications/international-standard-related-services-isrs-4400-revised>



Read

Paragraph 17011, on pages 17–3 and 17–4, of *Forensic and investigative accounting*, by Crumbley, Heitger and Smith, and Appendix 7 – Sample Engagement Letters, pages A-68 to A-70.

Assessment question



You are contacted by the Municipal Manager of Bathopele Municipality. She tells you that the internal auditor uncovered an instance of suspected fraud and seeks your professional assistance by appointing you to conduct a forensic investigation. The following facts are relevant to this matter:

- ☐ The Engineering Department of Bathopele Municipality is housed in a separate building, at 221B Baker Street.
- ☐ The Engineering Department generates moderate income from ad hoc services, including burial fees, tender fees, bulk refuse removal, copies and building plans.
- ☐ These services are not invoiced. On receipt of payment, a manual receipt is prepared (in triplicate), of which the top copy is given to the customer; the second copy is sent to the chief cashier with the cash reconciliation; and the book copy is retained by the Engineering Department.
- ☐ Since the Engineering Department has no formal cash office, all receipts are processed through the main cash office at the cash hall of the main municipal office. This is done at a later stage.
- ☐ Because the revenue generated by the Engineering Department is considered immaterial, the internal auditor has not reviewed this income stream and its related controls. There are no formal cashiers employed at Baker Street, and cash receipting is undertaken by secretarial staff. The secretary has no formal training and does as she considers best.
- ☐ The secretary is required to perform a cash reconciliation on a regular basis and forward the cash to the cash hall, with the proper cash-up sheet supported by the second duplicate receipt. In the absence of instructions to the contrary, she performs the cash reconciliation irregularly – on average about once or twice in a month.

- After the reconciliation has been carried out by the secretary, she seals the cash and documentation in a transfer bag, and this is handed to an external security officer, who issues a receipt with the seal number included.
- The security officer delivers the sealed package to the chief cashier at the cash hall. The cashier has to sign for receipt of the sealed package and certify that the seals are intact.
- The cashier counts the cash and agrees it to the cash-up sheet (as supported by the receipts). When in order, the cashier issues an electronic receipt in favour of the Engineering Department.
- The receipt is attached to the other documentation and filed in the Engineering file. This file is retained at the cash office under the control of the chief cashier.
- The internal controls designed to ensure that all money receipted electronically is banked are generally considered effective.

The internal auditor tells you that he has accidentally uncovered this suspected fraud. He compared the value of a cash-up sheet generated by the Engineering Department to the value of the electronic receipt issued in favour of the Engineering Department and found that a lesser amount has been receipted and banked. In some cases, it appears that no receipts were issued, and the cash is unaccounted for.

The Engineering file also appears to be missing documentation. The client estimates that the loss may exceed R450 000.

REQUIRED

25 MARKS

Draft the relevant Letter of Engagement for the above scenario based on the material in this study unit.

Feedback on assessment question



ZooCookie Forensic Auditors
PO Box 123
City
Postal code

1 November 2022

Mrs A Manager
Municipal Manager
Bathopele Municipality
PO Box17
Bathopele
1000

Dear Madam

LETTER OF ENGAGEMENT

With reference to our meeting this morning, we thank you for appointing us to assist your office with the investigation into alleged financial misappropriations.

This letter presents our understanding of the proposed terms of our engagement and the respective obligations and responsibilities **(the why)** between ZooCookie Forensic Auditors (ZooCookie) and Bathopele Municipality (Bathopele) under the conditions and rates stipulated in this Letter of Engagement **(the who)**.

Any change in rates and/or conditions of appointment will be subject to written agreement by both parties.

Mandate and objectives of the investigation (the what)

We understand that your office has identified a suspected fraud relating to the proceeds originating from your Engineering Department. Furthermore, we understand that your internal audit has identified several questionable transactions, resulting in a shortage of approximately R450 000.00.

It is our understanding that our mandate entails the following:

- to introduce any procedures required to investigate the alleged financial misappropriation and document the findings in a forensic accountant's Factual Findings Report, suitable for any appropriate judicial forum, including, but not limited to, criminal, civil and disciplinary proceedings
- to liaise with the SAPS and other interested parties as appropriate
- to prepare appropriate evidence files
- to brief management and other interested parties as appropriate
- to testify where required
- to attend to other matters relevant to the above in accordance with your specific instruction

Books, records, documents and information required (the what)

In order to assist us in the efficient and effective conduct of the investigation, it will be necessary for us to have access to all relevant information in your possession or under your control. Should specific documentation be required, it will be requested from you.

We require your written authorisation to conduct enquiries on your behalf, to gain access to relevant premises, to take possession of relevant documentation, copies thereof and/or computer records and to question, as required, any employee or other persons for the purpose of our assignments **(the how)**.

In the course of interviewing employees and third parties, we accept no liability for the dissemination of information that is confidential, provided such dissemination occurs in good faith and is essential for the proper execution of the assignment.

Similarly, we do not accept any liability for the loss of original documentation for which you choose to retain control.

Scope of investigation (*the what*) and reporting (*the when*)

As instructed, we will conduct all investigations in co-operation with you and any members of your staff that you may wish to assign to the assignment. We shall verbally report back to you on progress and issue written progress reports.

Additional interim progress reports will be submitted, either at your request or when circumstances warrant such reports.

Should it become necessary to subcontract other expertise, we will do so only after specific consultation and authorisation from you. The fee structures and tariffs of any parties subcontracted will be presented to you for prior authorisation.

Any deviations from our original mandate will be confirmed in writing, on your written instructions. We will limit our investigative efforts to the legal and legitimate acquisition and collection of admissible evidence.

We undertake to conduct the assignments in the most cost-effective and expedient manner. In the event, however, of any regulatory or law enforcement authority being necessarily involved in the investigative decision-making or litigation process, we will not guarantee completion of the assignment or any portion thereof by any pre-determined dates.

The assignments will be conducted in the strictest confidence. No findings will be divulged to any third parties, without your express permission. We will report directly to you or your designated representative.

We understand that the client retains the right to terminate the assignment with the provision of seven days written notice.

Staff assigned (*the what*)

The staff assigned to the assignment will be determined by the experience and expertise required to conduct the assignment effectively. Mrs R Hino will manage the assignments and may be contacted at 012 123 4567. Members of staff will be assigned to the investigation as the need arises.

Travel, subsistence and disbursements (*the what*)

We confirm that we shall be entitled to recover any reasonable and substantiated travel, subsistence and direct costs and disbursements that necessarily arise from the investigation. Any extraordinary costs to be incurred shall, as far as practicable, be authorised by you before being incurred.

We further confirm that we will be entitled to recover any of the following costs should they be applicable:

- ☐ Any reasonable costs incurred by our firm as the result of the firm or its employees being subpoenaed or required to testify on the subject of the investigation for civil, disciplinary or criminal actions.
- ☐ Any costs incurred by us, with your prior approval, to seek protection against disclosure of subpoenaed materials in the possession, custody or control of our firm.

- Any reasonable legal costs that may be incurred by us in defending any claim that may arise as a result of the engagement, other than costs arising from our negligence.

Fees (*the what*)

As with any investigation, it is impossible to predict accurately the cost of the investigation. We confirm that you have committed to a budget of R180 000.00, which will not be exceeded without your written consent.

We will update you on a regular basis on the costs and the progress of the assignment. A schedule containing the rates of fees for the staff that we believe may be required to fulfil your mandate is presented below.

Name	Position	Proposed rate
		R
Staff 1	Forensic Accountant	2 000
Staff 2	Senior Manager	1 750
Staff 3	Manager – Investigations	1 500
Staff 4	Senior Consultant	900
Staff 5	Consultant	750
Various	Investigative Support Specialist	500
Various	Administrative Support	250

Rates exclude VAT and disbursements.

Disbursements rates (*the what*)

Charges for our disbursements are presented below.

Travel by road	R4.50 per km
Air travel	Actual cost –Economy
Accommodation	Actual cost – B&B (three-star equivalent) where possible
Per diem allowance	R250 per night for staff away from home
Searches – directorships, Registrar of Companies, deeds, etc.	R250 per search, sliding for volumes
Photocopies, printing, etc. (alternative to the above)	R1.50 per page
Colour printing	R3.00 per page

These rates are subject to annual review in April and **exclude VAT**.

Qualifications (*the what*)

The client will provide the objectives and scope of the investigation. The required approach to the investigation to achieve the set objectives will be determined by us, including the

necessary level and depth of the investigation.

Our independence in the conduct of this assignment cannot be limited by any party. Any restriction will require us either to qualify our report accordingly or to review our position in respect of this engagement. We reserve the right to terminate this mandate if we are not granted access to persons, information and records pertinent to this assignment, if material misrepresentations are intentionally made by you or by persons under your control or if a conflict of interest arises.

We confirm that, if deemed appropriate, we would be entitled to use the services of other specialists or firms under the conditions specified above.

We do not accept liability for any loss suffered by any third party, either directly or indirectly, that arises from the fulfilment of this mandate, except where liability is by law attributable to us.

The liability accepted by us in respect of the unlikely event of a negligence claim while conducting this assignment is limited to our fee.

Any claims of negligence or disputes involving any of the parties hereto may, as an alternative to litigation, be determined by arbitration conducted in accordance with the provisions of the Arbitration Act, No. 42 of 1965.

I hereby confirm that I am not aware of any conflict of interest that would compromise our assignment.

Should you require any further information, please do not hesitate to contact me at your earliest convenience. I look forward to your response.

If you are in agreement with the contents of this document, please sign the enclosed copy and return it to us at your earliest convenience.

Yours sincerely

Mr P Anda
Managing Director

I hereby confirm that I am duly authorised to accept the terms of this engagement.

Signature

Position

Date

On behalf of Bathopele Municipality

Mark allocation: Date and address (1), introductory paragraphs (2), mandate (5), generic content (5), fees (including rates and limitations) (5), qualifications (5), acceptance by the client (2).

LEARNING UNIT 1

FORENSIC AUDIT REPORTING

TOPIC 1.4

The Factual Findings Report: Structure, language, review and common mistakes

	Learning outcomes After working through this learning unit, you should be able to: • explain the typical structure and content of a Factual Findings Report • demonstrate that you know the correct grammar and style used in a Factual Findings Report • discuss the structure, format and content of a Factual Findings Report used in judicial proceedings • write a professional Factual Findings Report based on the facts in a given scenario • discuss the administrative matters relating to a Factual Findings Report • criticise a Factual Findings Report based on a practical scenario and include identification of common mistakes (e.g., language mistakes)
	The remainder of the learning unit focuses on report writing (topics 1.4 to 1.6). Study the relevant pages in the <i>Fraud Examiners Manual</i> (3.1001 to 3.1038) as you work through topics 1.4 to 1.6 in the study guide.

1. Typical structure of a Factual Findings Report

The following section provides a practical guideline on the contents and presentation of a Factual Findings Report. It should not be considered prescriptive, but a workable model. Many organisations have their own style, which must be maintained without compromising the content and completeness of the product or the professional presentation.

This format, with slight variations, is suitable for any form of forensic and investigative audit report (including reports to management) that supports either a disciplinary, civil or criminal process.

2. Content of a Factual Findings Report

It is advisable for a Factual Findings Report to have a glossary of terms, abbreviations, key individuals and entities to familiarise a reader with the circumstances and role-players of the investigation.

A Factual Findings Report will normally consist of the subsections that follow.

2.1 *Covering letter*

All reports must be issued under cover of a letter, referred to as the covering letter. This letter introduces the report and may also contain the Executive Summary. It briefly sets out the key findings of the assignment. This letter is signed and dated by the author.

The letter is often formally bound into the report, immediately following the cover page. The date of this letter is referred to as the Date of Report.

2.2 *Title page (cover page)*

The cover page of the report must be neat and uncluttered. This is the first page of the report and should from the outset create a positive impression. Use of colour is recommended where company logos are included. The report should clearly reflect the following:

- ☐ The name of the client
- ☐ The title of the investigation
- ☐ The type of report
- ☐ The name of the author (normally the name of an organisation)
- ☐ The date
- ☐ Confirmation of confidentiality

The cover page is not numbered and usually contains no header or footer.

2.3 *Index*

The index of the report is important, because it facilitates ease of reading and provides clear referencing and structure. The index page should contain a header and footer. The index page indicates all the sections of the report with their page references and the list of annexures and/or exhibits (properly referenced) that are attached and form an integral part of the report.

The layout of the index page should be neat and uncluttered and may extend over more than one page. It is usually Page 1 of the report.

The header in a report is usually printed in bold typeface and contains the name of the client, the title of the investigation, the type of report (e.g. 'Draft Report on Factual Findings') and the date of issue.

It is sensible to include a blank line as part of the footer to prevent the report from appearing cluttered. It is also considered neat to insert an extra blank line as part of the header to separate it from the text of the report.

All word processing software makes provision for the addition of headers and footers, which should be used as opposed to inserting the header on each page mechanically. The footer of the page should contain the page number (either 'Page X' or 'Page X of Y'), the confidentiality notice (e.g., 'Strictly Confidential') and usually, the name of the firm. It is considered neat to include a thin line above the footer text, to separate the footer from the text of the report.

Some firms include their corporate logo in the footer, which adds to the professional appearance of the report. The footer is usually printed in bold typeface, which further separates it from the text.

2.4 Introduction

Every report should commence with some background information in the form of an introduction for the benefit of those readers who are not familiar with the relevant facts.

A good report should enable any reader to understand its contents, without having been briefed beforehand.



The purpose of the background information is to provide the **uninformed reader with sufficient information** to use the report and to benefit fully from it. Normally, the introduction does not include results of the investigation, but addresses the issues that the forensic accountant was briefed on, before commencing with the investigation.

The introduction should contain sufficient information to familiarise all users of the report with the relevant facts. The introduction also enables the author **to introduce the relevant role-players to the client**.

A **sequence-of-events table** may prove useful and may be included in this section of the report.

2.5 Mandate and scope

This section should be **mandatory** for all reports. Any professional assignment must have a clearly defined mandate that is formally recorded in the report. The mandate contains the **core instructions** from the instructing client and has a material impact on the planning and execution of the investigation. For this reason, it deserves prominence in any report.

The mandate will not only determine the **extent** of the investigation, but will also affect the **contents** of the report. The recorded mandate will enable the reviewer to assess the completeness of the report.

Any limitations to the scope of an assignment should be formally recorded in this section. (The limitations of scope can also be dealt with under a separate heading.)

2.6. Purpose and objectives of the report

Each forensic accounting assignment contains unique elements and is commissioned for various reasons, which are summarised in this section. Normally a number of generic clauses are included such as:

“This report has been prepared to document the findings of our independent investigation and to report to management thereon. It should not be used for any other purpose without the written consent of the author.”

2.7 Report format

This section briefly sets out the format of the report. It may also include generic phrases such as:

“This report is structured to describe and support with documentary evidence, the results of the investigation into the allegations. The report makes reference to annexures, exhibits and supporting schedules. All documents prepared by us are clearly marked as such.”

2.8 Qualifications

By its nature, a forensic accounting assignment represents contentious issues that may ultimately be resolved in a judicial forum. Unlike audit reports for financial audits, the reports of forensic accountants are never routine.

The report of a forensic accountant usually contains highly confidential and privileged information, which, if not carefully controlled, can be abused, thus compromising either the instructing client or the author. For this reason, it is common practice to include a series of qualifications in the report.

One such qualification is provision for the author to reserve the right to amend the initial findings, should additional information be disclosed subsequent to the issue of the report, which could have an impact on the initial findings or any conclusions drawn.

2.9 Procedures followed

In this section, the procedures followed by the forensic accountant to achieve the mandate are listed in point or bullet format. This is an important part of the report and should not be disregarded or neglected.

It should be possible for an experienced reviewer to assess the adequacy of the investigation by merely reading the introduction and the mandate (as documented in the report). The information on the procedures followed should also be documented in sufficient detail, to demonstrate that the forensic accountant applied a methodical approach and completed the task adequately, thus justifying the time and expense incurred in the process.

The sequence in which the procedures are documented is important and should follow a logical and, where possible, chronological approach. This sequence will determine the sequence in which the detailed factual findings are reported.

2.10 Factual findings

The main body of the report is contained in the factual findings section. Please note that this section should **contain only the factual findings and no additional speculations and unjustified assumptions**. Any assumptions made must be motivated and justified.

To facilitate reading of the report, the sequence in which matters are reported should, where possible, **follow the sequence in which the procedures performed** (as documented above) **were documented**. Each procedure listed should be followed directly by the results obtained, preferably set out in clearly demarcated subsections with appropriate subheadings. However, this should not come at the expense of the proper flow of the report and should be carefully navigated.

In a good report, each section starts with a strong opening sentence (or paragraph) that is supported by the factual detail and ends with an appropriate closing paragraph and summary sentence that can be used in the Summary of Findings and that, ultimately, supports the conclusion.

Visual aids, including graphics, tables or photographs, facilitate the reading and understanding of a report and are also more eye-catching. The use of colour is encouraged.

Lengthy detailed schedules, however, should be appended to a report as either an annexure or an exhibit rather than included in the body of the report.

2.11 Summary of Findings

The Summary of Findings represents the summaries of the factual findings and is documented as set out above, preferably in point form and in the same sequence. Only a summary of each procedure followed will appear in this section, because a detailed description is found in the **'Procedures followed'** section of the report.

The Summary of Findings should not contain lengthy arguments. Do not introduce new facts in this section. **The wording of each sentence in the summary section should be concise, and the contents should reflect the detailed factual findings**. Where possible,

the wording should correspond to the closing sentence of each detailed subsection.

2.12 Conclusion

Not all reports require or contain conclusions. If appropriate or required, however, **the conclusions must represent a considered assessment of the contents of the Summary of Findings**, which, in turn, is supported by the details documented in the Factual Findings section.

2.13 Recommendations

This section contains appropriate recommendations. These should be applicable and practical with sufficient detail to ensure this.

2.14 Executive Summary¹

Since many assignments are comprehensive, the reports prepared by the forensic accountant can be very lengthy, especially when supported by annexures and exhibits. However, a lengthy report tends to intimidate the reader. **Because reports are often used to provide feedback to the executive management, a concise version is more appropriate.** This is best achieved by means of an Executive Summary.

Shorter reports may not always require the inclusion of an Executive Summary, as it may lead to duplication. The Executive Summary must not deviate from the main report or contain additional information. It must contain only the appropriate detail to provide concise feedback to those who require it.

A recommended approach for the Executive Summary is to extract the following sections from the main report:

- ☐ Title page and index
- ☐ Introduction
- ☐ Mandate and scope
- ☐ Purpose and objectives of report
- ☐ Report format
- ☐ Procedures followed
- ☐ Summary of Findings
- ☐ Conclusion
- ☐ Recommendations

The Executive Summary can be presented as a separate document, under cover of a separate letter (recommended).

2.15 Annexures and exhibits

Most reports issued by forensic accountants will refer to annexures and exhibits. These annexures and exhibits should be chronologically numbered and referred to in the body of the report. Since reports are titled Factual Findings, most facts will be derived from documentary evidence to which reference must be made.

The numbering system is not prescribed and can either be numeric or alphanumeric. Most

organisations adopt an alphanumeric approach, namely Annexure A, B, C, etc., followed by AA, AB, AC, as opposed to 1, 2, 3, etc. The preferred approach is to avoid using Annexure I because it resembles the numeric 1 (one) and Annexure O because it resembles the numeric 0 (zero).

Although there are no formal rules, it is recommended to use **annexures** for self-generated documents and **exhibits** for all other documents.

Ultimately, original documents subjected to a forensic accounting investigation may be presented in a judicial forum and will be numbered or referenced as court exhibits. **It is undesirable, therefore, to mark original exhibits prominently, since one's own exhibit numbers may clash with the court exhibit reference.** Copies of exhibits used for the report, however, may be permanently referenced.



¹ The Executive Summary can also be inserted at the beginning of the report.

Since annexures are self-generated (usually on a computer), it is advisable to reference these prominently by means of headers and footers.

As a guideline, the header in an annexure will contain the name of the client (left aligned), the document description (centre aligned) and the annexure reference (right aligned), all printed in a bold typeface that is preferably slightly larger than the typeface used for the body of the text.

Example of a header

ABC client Cash flow analysis Annexure D

Similarly, the footer should contain the confidentiality notice (left aligned), the page number (centre aligned) and the originator (name of firm, right aligned). These are usually also printed in a bold typeface that is slightly larger than the size of the typeface used for the body of the text.

Example of a footer

Confidential Page 15 XYZ Forensic Firm

As previously specified, all self-generated documents (annexures) should be identified as such (*'All documents prepared by us are clearly marked as such'*).

Source of documentary evidence

In matters that may be brought to court, identification of the source of any documentary

evidence is required. It is, therefore, advisable to include a **list of the exhibits used in the report with reference to the source of the documents**. This may be included at the end of the report.

For example, documents obtained by a law enforcement agency during a search and seizure operation or by means of a subpoena must be identified as such.



Because the report of a forensic accountant is often used as evidence, it is vital that the report is as comprehensive as possible. Often trials (in which the report may be relevant) are held years after the report is finalised. If there is no systematic reference to the origin of the documents, the accountant may have to rely on memory, which is not acceptable, reliable or professional.

A report should always be able to ‘stand on its own’.

Additional considerations

Most reports should first be issued in draft format, enabling the user to consider the contents and make recommendations. The report should, therefore, be clearly marked as ‘Draft’, until it is issued in its final format.

A report should be signed and dated, either in the covering letter if that letter is included in the report or on the last page of the report (before the annexures and exhibits).

Since forensic accounting reports are usually strictly confidential, their distribution is carefully controlled. The unique number of the report is usually printed (or written) on the cover page, for example, ‘Copy x of y copies’. A distribution list, identifying the number of each report and its intended recipient, should be appended to the report.

Report used in judicial proceedings

The report format discussed above is normally used in situations where a client suffers a loss due to fraud, which needs it to be professionally investigated and reported. In such situations, the objectives of the investigation are to provide answers to the client for the questions regarding **where, when, why** and **how** the offence occurred and by **whom** it was perpetrated. The client would also wish to learn **from the experience** to prevent a recurrence of the problem. Accordingly, **recommendations** are appreciated.

If the matter is referred to law enforcement agencies for possible further investigation and criminal prosecution or civil recoveries, the format of the report will, by necessity, change.

During the criminal investigative process, the forensic accountant works in a symbiotic relationship with the law enforcement agencies and has access to privileged additional evidence (e.g., bank statements of the suspect), which the instructing client may not use for

internal or civil proceedings.

All new evidence is included in an updated report suitable for criminal proceedings.

However, the court is not interested in the Summary of Findings, the Recommendations or the Executive Summary, all of which form a vital part of the initial forensic report.

The updated report for use in a court would, therefore, not contain these sections.



A more detailed introduction concerning the suspected perpetrator and the relevant industry may be required in the report that is to be used in court, since the court, unlike the instructing client, has no prior knowledge of these matters.

In practice, a forensic accounting assignment may culminate in **two reports**, the first issued in draft format to the client and an amended finalised report suitable for the judicial forum.

Grammar and style

Consider the following guidelines, as published by the **Association of Certified Fraud Examiners**:

Write each report in a style that is clear, concise and to the point. Poorly constructed or grammatically incorrect sentences can ruin an otherwise flawless fraud examination. The purpose of writing a report is to convey information to the reader; therefore, it is the examiner's responsibility to communicate effectively and efficiently.

The two cardinal sins of report writing are *vagueness* and *wordiness*.

Common breaches of good basic writing include

- ☐ use of improperly placed or ambiguous modifiers (changes sentence context)
- ☐ use of technical jargon, slang and/or colloquialisms (places the burden to understand on the reader)
- ☐ use of unnecessary, high-flown verbiage (in an attempt to impress the reader)

The following provides some examples of improper grammar use.

Voice

In grammar, voice indicates the relation of the subject to the action of the verb. When the verb is in the active voice, the subject acts; when it is in the passive voice, the subject is acted upon.

EXAMPLE

***John Doe wrote the report. (active) OR
The report was written by John Doe. (passive)***

In the above example, both of the sentences mean the same, but each has a different *emphasis*. In the first sentence, emphasis is on the subject, *John Doe*, whereas in the second sentence, the focus is on the object, *the report*. Notice how much stronger and more forceful the active sentence is. Always use the active voice, unless there is good reason to use the passive. Because they are wordy and indirect, passive sentences are more difficult to understand.

EXAMPLE

Instances of fraud are most likely to be reported by co-workers.
(passive)

OR

Co-workers report most instances of fraud. (active)

Person

Person indicates whether the written text refers to the writer (first person), or to the reader or the person for whom the text was written (second person), or to an object or third party about whom the text was written (third person). Person is established through the use of personal pronouns.

EXAMPLE

First person : *I did not find a record of the deposit.*
Second person: *You did not find a record of the deposit.*
Third person: *He did not find a record of the deposit.*

Point of view

Point of view indicates the writer's relation to the information presented, as reflected in the use of person. The writer usually expresses point of view in first-, second-, or third-person personal pronouns. The use of the first person indicates that the writer is a participant or observer ('This happened to me' or 'I saw that'). The second and third person indicate that the writer is writing about other people ('This happened to her, to them, to it'). **When writing a report, one should never use *the writer* to replace *I* or *me* in a mistaken attempt to sound formal or dignified.**

Change: The writer believes that this examination will be completed by the end of June.

To: I believe that this examination will be completed by the end of June.

Constructing clear sentences

Sentences that make up a report should be simple and clear. Whenever possible, use uncomplicated sentences to state complex ideas. If readers must cope with a complicated sentence in addition to a complex idea, they are likely to become confused. Common sentence-structure mistakes to avoid are demonstrated below.

Rambling sentences

Sentences that contain more information than the reader can comfortably absorb are known as rambling sentences. The remedy for a rambling sentence is to divide it into two or more sentences. Place the main message of the rambling sentence into the first revised sentence.

Change: The payment to which a subcontractor is entitled should be made promptly in order that, in the event of a subsequent contractual dispute, the general contractors may

not be held in default of contract by virtue of non-payment.

To: Pay subcontractors promptly. Thus, if a contractual dispute should occur, the general contractor cannot be held in default for non-payment.

Run-on sentences

A run-on sentence is two or more sentences without proper punctuation to separate them. Run-on sentences can be corrected by creating two sentences or by joining the two clauses with a semicolon (if they are closely related).

Change: The new manager instituted several new procedures some were impractical.
(run-on sentence)

To: The new manager instituted several new procedures. Some were impractical.
(period)

Or to: The new manager instituted several new procedures; some were impractical.
(semicolon)

Omitted verbs

Do not omit a required verb.

Change: I never and probably never will locate the missing file.

To: I never located and probably never will locate the missing file.

Omitted subjects

Do not omit a subject.

Change: He regarded price fixing as wrong but until abolished by law, he engaged in it as did everyone else.

To: He regarded price fixing as wrong, but until *it was* abolished by law, he engaged in it, as did everyone else.

Unnecessary compound sentences

Avoid compound sentences containing clauses that have little or no logical relationship with one another.

Change: The ledger contains several examples of altered data entries, and it usually is stored in the company's safe.

To: The ledger contains several examples of altered data entries. It is usually stored in the company's safe.

Misplaced modifiers

A modifier (a word, a phrase or a clause) is misplaced when it modifies or appears to modify the wrong word or phrase.

EXAMPLE
I almost located all the missing files.
I located almost all the missing files.

Possible confusion in sentences of this type can be avoided by placing the modifier immediately before the word it is intended to modify.

Change: All businesspersons are not talented in mathematics. (The implication is that no businessperson is talented in mathematics.)

To: Not all businesspersons are talented in mathematics.

Using visual aids in professional reports

One of the main objectives of a forensic auditor compiling a professional report is to ensure that someone reads the report! The auditor embarks on a comprehensive investigation to determine the truth behind a suspected wrongful act and has to communicate his findings to the relevant parties, including the instructing client. It is easy to write a lengthy and complex report, but difficult to communicate complex information in simple and intelligible terms.

One of the main aims of the author of such a report should, therefore, be to write in such a way that the report 'asks to be read' and is understood.

A report that looks attractive will readily attract attention. Visual aids can enhance a presentation and can make it more succinct by reducing printed text.

Visual aids have limitless applications. The skilful communicator will use a wide array of visual aids to explain, demonstrate, simplify, emphasise, highlight, summarise, illuminate, compare and indicate links or correlations, and much more.



Read

Winning the case with a strong written report: Part 1 reproduced in full hereinafter by the ACFE. This report contains important information.

Winning the case with a strong written report

The written case report, often the only evidence of investigative work, forces the fraud examiner to consider his or her actions.

Documenting results is a particularly important function in fraud examinations. In many instances, the written report is the only evidence that the work was performed.

Cases can be won or lost on the strength of the written report. It conveys to the litigator all

the evidence and provides credence to the fraud examination and to the examiner's work. The report will force you to consider your actions during an investigation, because they'll be documented. It omits irrelevant information, thereby allowing pertinent facts to stand out. A first-rate written report is based upon a first-rate examination.

Preparation

You must adequately prepare prior to any interview or information-gathering process. Proper preparation entails analysing what's to be expected as an end product. It also should involve having a good idea of what is to be learned from each witness.

Active listening is an essential function of effective report writing. The fraud examiner must have good listening skills so that information is properly assimilated, evaluated, and communicated to others. **Listening skills are learned.** Listening involves perceiving the ideas the respondent is actually communicating. To do so properly, one must set aside any preconceived notions and listen objectively - not only to what is being said - but how it's said and why. The fraud examiner should withhold judgment until the entire message has been heard.

Active listening often involves participating with the respondent during the information-gathering process. Participation conveys interest in the subject and promotes rapport. Participation may require reacting openly to information by verbal and nonverbal responses.

Accuracy of Reports

Each contact an examiner makes during the course of a fraud examination should be recorded that day in a memorandum of interview. Although there's no need to recapitulate testimony word for word, the fraud examiner should include all relevant facts.



Good practice would actually be to reduce any relevant points of an interview into a statement or preferably an affidavit. In this manner, any subsequent disagreements as to the outcome of the interview by the interviewee is eliminated. Alternatively, a recording of the interview may be made.

The fraud examiner should reconfirm dates and supporting information with the respondent. It's important to reconfirm the facts before the report is written, not after. Completely describe all attachments to the report. Inaccuracies and careless errors are inexcusable and can make a report useless.

Clarity

Fraud examination reports should convey pertinent information in the clearest possible language. If necessary, quote the respondent directly, if the quotation doesn't distort the context. Convey only the facts; don't editorialize or give judgments.

Use complex or technical terms in their proper contexts and explain their meanings. Don't use jargon, because those who aren't familiar with esoteric or technical terminology might read the report.

Impartiality and Relevance

Report all facts without bias. Include everything relevant, regardless of which side it favours or what it proves or disproves. At the beginning of a fraud examination, the examiner should carefully determine the information that will be needed to prove the case and attempt to include only this information. However, it's better to include too much than too little, because you may not know what's relevant until long after you write the report.

Timeliness

Timeliness of reports is extremely important, because it tends to enhance the accuracy of witness testimony. Another aim of timeliness is to preserve the examiner's memory of the interviews. Transcribe all interviews as soon as possible after the questioning. After completing the examination, prepare a final or interim report as soon as possible.

Reporting Mistakes

Conclusions and opinions

When writing a report, conclusions and opinions are similar, but not identical. Conclusions are based upon observations of the evidence, but opinions call for an interpretation of the facts. You must be circumspect about drawing conclusions. In most situations, the examination's conclusions should be evident and you shouldn't have to point them out in the report. If the conclusions aren't obvious, you'll need to clarify the report.

Avoid stating opinions regarding the guilt or innocence of any person or party. The Certified Fraud Examiner Code of Professional Ethics specifically prohibits statements of opinions as to guilt or innocence, because that is the job of the judge or jury. **Opinions regarding technical matters are permitted if the fraud examiner is qualified as an expert in the matter being considered.** For example, a permissible expert opinion might be in regard to the relative adequacy of an entity's internal controls.

Evidence

Strict legal guidelines determine how evidence is handled and its chain of custody. You can avoid evidence maintenance problems by simply documenting - in memorandum form - the receipt of release of all evidence.

Copy documents

Most fraud case evidence will be in document form. When operating under a lawful court order that compels a custodian to furnish original documents, you should copy those documents, preferably in the presence of the custodian. Then you should furnish the custodian with a receipt describing the documents copied or taken.

Safeguarding and maintaining documents

After you obtain documents, secure them for evidence. Be sure that only those people with an absolute need for the documents can gain access to them. Copy all documents. (Originals normally aren't included in the report.) Avoid defacing originals.

When documents are voluntarily furnished, leave the originals in place and work with the copies. If the originals are lost, stolen, or misplaced, the copies normally can be introduced in court under the "best evidence" rule. Don't take shortcuts with evidence and certainly don't lose or misplace crucial documents. It's inexcusable for a fraud examiner to mishandle evidence, because it will compromise the case.

Organization of Information

Because of the large amount of information and documents that might be collected during a fraud examination, the examiner should plan early and well. If circumstances permit, an **information database** should be established in the early phases of the case. Report information can be presented either in chronological order or by transaction.

Chronological

This method presents facts in the order in which they were uncovered. For example, if an anonymous tip predicated the fraud examination, the information received would be presented first in the report. Thereafter, the reader would follow the development of each step as the case progressed.

Present information from each witness in a chronological manner. For instance, if you're interviewing an associate of the target, relay the information in a way that begins at the point the associate first met the target and then proceed through the course of pertinent events that lead to the present.

Transaction

If a multitude of documents support several instances of fraud, present this information by separating individual transactions. For example, in a case of internal fraud involving six different instances of embezzlement, the documents and the related interviews might be best understood if presented as a group. Thereafter, detail the remaining transactions chronologically.

Analyzing the Reader

Keep in mind that the fraud examination report will be read by the general public and the opposition. Write the report with this caveat in mind: Under no circumstances should you prepare a communication with the idea that information won't be disclosed to adverse third parties. A fraud examination should answer the classic questions of who, what, where, why, when, how, and how much. If you prepare the report properly, the reader shouldn't have to refer to any other document to understand the issues. **The following individuals will most likely read the fraud examination report:**

Company insiders

Managers and executives probably will review a case report involving internal fraud and misdeeds. **Because people outside the company probably will review this document, it shouldn't address internal control deficiencies, management issues, or other sensitive company considerations.** Instead, deal with these matters in a separate letter or other form of communication.

Attorneys

Internal and external attorneys will read the reports. In reports prepared at the request of counsel, mark each page **"privileged and confidential"**. This procedure will document any privilege claim. However, marking the report in this way won't necessarily ensure that the privilege will be sustained.

The defendants' attorneys likely will gain access to a report during the discovery phase of civil litigation. These lawyers will scrutinize the report for errors, omissions, and misstatements. **Be certain the report is accurate down to the smallest detail.**

Defence attorneys will cite the smallest error as evidence that the entire document is inaccurate. In criminal cases, prosecuting attorneys and law enforcement personnel also will review a report. They will look primarily at evidence and witness statement that will best sustain a criminal prosecution.

Defendants and witnesses

In either civil or criminal litigation, the defendants eventually will see most, if not all, of a report. If the case reaches court, the witnesses whom you identified and interviewed will be provided copies of their own statements, if not the entire report.

Media

In some instances, the media might gain access to a report. Reporters might obtain data from information disclosed during litigation or, in some instances, from confidential sources. The media is adept at uncovering mistakes and incorrect conclusions.

Report Structure

Reporting formats vary widely. Some organisations, especially governmental investigative bodies, use report forms so that case information is provided in a consistent manner.

If the report is distributed outside the organisation, it's often necessary to prepare an additional transmittal letter. You can attach original exhibits and evidence separately.

The heart of the report is the memorandum of interview. Prepare a memorandum for each official contact. Assemble the memoranda of interviews in chronological order and index them.

Memoranda

Use memoranda to document all interviews and other pertinent information discovered during the examination. Each memorandum should contain the following information:

- ☐ Heading
- ☐ File number or control number
- ☐ Name of person reporting
- ☐ Case name or subject
- ☐ Subject of memorandum
- ☐ Date
- ☐ In the details of facts show:
 - o the interviews were voluntary
 - o the witnesses provided their own identities
 - o the witnesses were informed of the nature of the inquiry
 - o the dates of the inquiry
 - o how you conducted the interview (in person, by telephone, etc.)
 - o if the interview was electronically recorded
 - o the facts learned during the inquiry

Cover page or letter

A cover page summarises the examination's salient points. The cover page should be direct and succinct but it might or might not include an opinion. Include a cover letter in a report to an outside agency (such as law enforcement or outside counsel).

In the cover letter, recapitulate information in the report and summarise the principal weaknesses. You only have to list the most valuable witnesses.

Exhibits

Unless the exhibits are bulky, don't attach them, but include copies of them in the report. The chain of custody should be maintained over original documents.

Forms

A complete fraud examination report must document every step of the information-gathering process. Use forms to present an orderly and legal presentation of evidence. These forms are kept in the file and shouldn't be kept in the report. The forms should include the following:

1. Consent to Search¹

This form documents that a person was informed of their constitutional rights, stating that:

- ☐ The premises couldn't be searched without a search warrant; and
- ☐ The person could have refused to consent to such a search.

The signatures at the bottom of the form (subject and witness) indicate that the person is voluntarily giving the fraud examiner written permission to search the premises and to remove whatever computer devices/papers, documents, data or other property he might desire.

2. Receipt for Property

A Receipt for Property form is a multipurpose document used to list items of evidence that have been received, returned, or released. This form includes:

- ☐ date of transfer
- ☐ property owner's name
- ☐ owner's address
- ☐ description of item
- ☐ signature lines ("received by" and "received from")

3. Telephone Recording Consent

This form stipulates where, when, and with whom telephone conversations can be tape-recorded. It states that the subject had granted permission, without threats or promises of any kind, and the subject and witness must sign it. Be cautioned that the form alone doesn't make the conduct illegal or legal.

¹ (From a South African perspective, it depends on the circumstances whether the person has a reasonable expectation that the place/items to be searched, is private. If not, no constitutional rights apply. Much will depend on the policy in place at the workplace as well. This form documents that a person was informed of his constitutional and/or workplace rights, and stating that he has a right not to have the premises/office searched and that he or she voluntarily, without any undue influence, consents to the search of the premises/office and the seizure of relevant items/computer devices or data.)

4. Advice or Rights²

An Advice of Rights form "Mirandizes" an individual; that is, it informs a person that:

- ☐ He might remain silent in the face of questioning;
- ☐ whatever the person says can be used against him in a court of law;
- ☐ if requested, an attorney will be appointed for him before questioning.
and
- ☐ he might stop answering questions at any time, whether an attorney is present or not.

If Mirandizing is applicable, this form should be signed and witnessed.

5. Consent to Record

This form documents the fact that an individual has given the examiner permission to record specific conversations. It must be signed and witnessed. The form details the:

- ☐ name of the individual
- ☐ their address
- ☐ location of the conversation(s)
- ☐ who might record the conversation(s)
- ☐ name of the subject(s) with whom the individual might converse
- ☐ date(s) of the conversations(s)

6. Customer Consent and Authorisation for Access to Financial Records

This form authorises a financial institution to disclose a customer's own records to the fraud examiner or other specifically listed individuals. The account holder must sign it.

7. Evidence Control Log

In the case of significant items of evidence, it might be advisable to prepare this l

og that documents:

- ☐ evidence control centre location
- ☐ bank safe-deposit box location
- ☐ other evidence location
- ☐ signatures of persons placing in or removing evidence from evidence repository
- ☐ reasons why evidence was moved
- ☐ file case number
- ☐ times and dates authorised individuals entered and departed the evidence repository

Bias

The expert witness report must be, and be seen to be, unbiased. The credibility of the author will be seriously jeopardised if he/she is found to suppress facts that counter the essence of the stated case or the view taken. In particular, one of the directives of the ACFE Code of

² SA position: Not Miranda Rights, but Constitutional Right to remain silent if arrested, accused or detained person - in other words, probably not applicable for workplace investigations where an employee has a duty to respond and to cooperate in the investigation conducted by non-law enforcement officials.

Ethics states:

“A Certified Fraud Examiner will reveal all material matters discovered during the course of an examination which, if omitted, could cause a distortion of the facts.”

The allegation of bias is usually presented in court by the opposing counsel, incited by the fact that one of the parties commissions and pays the forensic accountant.

The forensic accountant can only credibly rebut such allegation through professional conduct in all respects.

A perception of bias, however, can arise in the choice of words, especially adjectives used in the report.

The forensic accountant should take care not to use emotive language when conveying facts. For example, I refer to an inappropriate remark that I found in a professional report, which referred to:

“... the disgusting treatment by the financial manager of Mrs Beukes, who was the only credible whistleblower ...”

The term “disgusting” is inappropriate, because it clearly demonstrates that the forensic accountant supports one of the parties and is expressing personal views of an emotive nature under the guise of a Factual Findings Report. Also, the term “the only credible witness” represents an unwarranted opinion, which is misplaced in such a report.



The author of a Factual Findings Report should, therefore, carefully consider the choice of adjectives that may (justifiably) give rise to allegations of bias.

The industry prohibits the forensic accountant from accepting assignments on a contingency basis, in which the fees are only payable if a certain result (such as a guilty verdict) is achieved. In such a case, the forensic accountant would find it impossible to defend allegations of bias in favour of his/her client's case.



An interesting case dealing with the shortcomings in a forensic audit report (and perceived biased testimony) is the case of *S v Moreroa and Others* (A523/2015) [2016] ZAGPPHC 20, available at <http://www.saflii.org/za/cases/ZAGPPHC/2016/20.html>

Also remember to refresh your memory about this case when you learn about witnessing in learning unit 2.

Hearsay

Although it is almost unavoidable, the forensic accountant must strive to avoid using hearsay in the Factual Findings Report. Where it is considered unavoidable, the laws of evidence must be kept in mind in such a manner that the hearsay can be provisionally accepted.

	Read • The Law of Evidence Amendment Act, 45 of 1988, section 3 • The principles of hearsay evidence as set out in your study guide for module ALF4861-Applied Law for Forensic Auditors.
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Criticising a report

On many occasions, you may have issued a report with pride and confidence, and thought it was good, only to read it again a month or two later, with a degree of embarrassment, due to undetected errors or inappropriate grammar. It is not possible to write the perfect report. In writing a report, you, as author, know exactly what you mean and what you wish to convey. It is difficult to recognise your own lapses or inefficiencies, which may be glaringly obvious to a first-time reader of your report.

If these errors are detected in a 'friendly environment' (e.g., your office), they can be corrected and no damage is done. However, if not, they may cause you a significant degree of embarrassment or damage to your reputation.

It is, therefore, vital that every report is reviewed internally, by someone else, prior to its release. The reviewer will consider your report from a number of different perspectives.

From a linguistic perspective, the report must have no spelling errors, the grammar must be correct, the terminology must be appropriate and the contents must be clear and intelligible. One should never have to read a sentence or paragraph twice to grasp its meaning.

The reviewer will test it for factual accuracy and ensure that all stated facts are supported by a clear reference to its source documentation.

Operationally, the reviewer has to confirm that the report is complete in every respect, that the mandate has been fulfilled (and not exceeded), that the assumptions are valid and well documented, that conclusions are justified and appropriate considering the content of the report and that any opinions are sound.

The reviewer may check that initial **objectives** have been met by seeking answers to the following questions:

- ☐ Does the report cover the expert's instructions?
- ☐ Does the report express views on matters outside the expert's competence?
- ☐ Does the report state the assumptions on which the expert's computations are based?

- ☐ Are the assumptions consistent?
- ☐ Has the expert included copies of the principal documents that are relied upon?
- ☐ Is the background information set out in the report accurate and adequate?
- ☐ Does the report explain the expert's conclusions?
- ☐ Are the appendices consistent with the body of the report?
- ☐ Do the conclusions of the report appear reasonable?
- ☐ Does the report deal with matters that may undermine the expert's opinion?
- ☐ Does the report take account of recent developments?
- ☐ Are there any factual or arithmetical errors?

It is not an easy task to review a report. Firstly, there may be a degree of embarrassment or awkwardness in 'criticising' your colleague. Secondly, as the industry is known for its tight deadlines, the reviewer is usually placed under impossible time constraints. It is not uncommon to hear: "The report is due in an hour, please check it!"

Communicating the review comments or giving 'positive criticism' remains sensitive, since it is very easy for the author to take offence.



Go back to the comments made regarding the criticising of an Engagement Letter, in topic 1.3, since they also apply to the criticising of a report.



EXAMPLE

I remember three incidences in my early years as a young audit clerk, in which three different audit partners used different approaches in reviewing my work.

The first partner would say, "Don't take it personally, but it must flow; it must flow." He changed my own words all the time. Of course, I took it personally, until as an experiment, I rewrote (in my handwriting) a few sentences that the partner had written himself.

The partner considered it, crossed it out in red pen and said. "Don't take it personally, but it must flow; it must flow" and changed it to make it so. This example illustrated that the criticism was not directed at me, but was a positive reflection to improve the product.

A second partner conveyed another positive criticism in which he advised me that in my verbal communication, the message was clearer and more concise than in my written

submissions. He advised that I should practise and fashion my writing style to be similar to the verbal feedback I provided. This was acknowledged without offence.

It was impossible, however, not to take offence in the third incident. The reviewing partner had considered my 86-page report, of which I was proud, and said, "I suppose this is not a complete waste of time; we will refer to it as file notes." This serves as an example of extremely destructive criticism, which should be avoided.

Key report-writing principles to remember



1. A good report must be accurate:
 - Keep it factual.
 - Never speculate.
 - Support assumptions.
 - Provide proof for facts.
 - Avoid hearsay.
 - Distinguish between comments and facts.
 - Identify your own opinion and justify it.
2. A good report must be clear and understandable:
 - Do not waffle.
 - Develop clear arguments based on facts.
 - Avoid ambiguity.
 - Say what you mean.
 - Mean what you say.
3. A good report must be impartial and relevant:
 - A forensic accountant must be seen to be impartial and factual.
 - State facts, even when they contradict the case.
4. A good report must be timeless:
 - A good report must be as relevant in a year as it is today.
 - Do not make reference to dates and times as 'recently', 'last month', 'soon', etc.
 - Draft the report as soon as possible after completion of the investigation.
5. A good report must have proper conclusions:
 - Conclusions are based on observations of the evidence.
 - Any conclusions must be well supported by clearly documented facts.
 - Do not introduce new facts in your conclusions.
 - Conclusions should be presented logically to follow the flow of the report.
 - If you cannot draw conclusions, say so.
 - If you draw conclusions, abide by them.
 - Never conclude on the guilt of anybody – that is the task of the court.
6. A good report must present opinions only if justified:
 - Opinions call for an interpretation of the facts.

- Avoid stating opinions regarding the guilt or innocence of any person or party.
 - Opinions regarding technical matters are permitted if the fraud examiner is qualified as an expert in the matter being considered.
7. A good report must always be factual:
- A Factual Findings Report must be and seen to be factual.
 - Avoid speculations.
 - Assumptions must be clearly justified and documented and identified as such.
8. A good report must read well:
- The report must instil confidence in the author.
 - The format and presentation of the report must make it easy to read.
 - The report should be written in such a way that the reader retains interest.
 - The report should not look intimidating – the user must want to read it.
 - A report should not test or challenge the patience of the reader.

	Study ➤ The content of this topic in this study guide ➤ <i>Fraud Examiners Manual</i> (pages 3.1001 to 3.1038) Although the reference material (above) discusses hearsay from an American legal perspective, many of the concepts are based on common law and are, therefore, universal.
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Assessment question



1. Explain the typical contents (sections) of a forensic accountant's Factual Findings Report. (16)
2. Explain the characteristics of a good report and the implications of failing to adhere to these. (8)
3. Explain the importance and relevance of the reviewing procedure for a formal (internal) report prior to the release of the report. (5)

Feedback on assessment question



1. Explain the typical contents (sections) of a forensic accountant's Factual Findings Report.

See the 16 items listed under '**The content of a Factual Findings Report**'. For each of the listed headings, write one (1) sentence that explains what this section entails. One (1) mark is allocated per item.

For example:

1. Covering letter: When a report is issued to the client, it is sent under cover of an accompanying letter (addressed to the client) that introduces the report. (1)
2. Title page (cover page): This is the front page of the report and should immediately create a positive impression. (1)
3. Index: The index of the report is important, because it facilitates reading and provides clear referencing and structure. (1)
4. Introduction: The introduction provides the author with an opportunity to give the client some background information and introduces relevant individuals and relevant historical facts. (1)
5. Mandate and scope: The mandate contains the core instructions from the instructing client and has a material impact on the planning and execution of an investigation. (1)
6. Purpose and objectives of report: Each forensic accounting assignment contains unique elements and is commissioned for varying reasons. (1)
7. Report format: This section briefly sets out the format of the report. It may also include generic phrases. (1)
8. Qualifications: The report usually contains highly confidential and privileged information, which, if not carefully controlled, can be abused, thus compromising either the instructing client or the author. Therefore, certain qualifications may be included. (1)
9. Procedures followed: The procedures followed by the forensic accountant to achieve the mandate are listed in point or bulleted format. (1)
10. Factual findings: This involves the uncovered facts, without speculation and unjustified assumptions. (1)
11. Summary of Findings: This is a summary of the factual findings documented previously in the report, preferably in point form and in the same sequence as presented before. (1)
12. **Conclusions:** Not all reports require or contain conclusions. However, if appropriate or required, the conclusions must represent a logical assessment of the content of the Summary of Findings, which, in turn, is supported by the details documented in the factual findings section. (1)
13. **Recommendations:** Where appropriate, recommendations are made in this section. The recommendations should be logical and workable. (1)
14. Executive Summary: The Executive Summary may not deviate from the main report, for example, by having new information added. It must contain only the appropriate detail to provide concise feedback to those who require it. (1)
15. Annexures and exhibits: Since reports are titled, 'Factual Findings', most facts will be derived from documentary evidence to which reference must be made in the form

- of annexures or exhibits. (1)
16. Source of documentary evidence: In any matter that may be presented to court, identification of the source of documentary evidence is required. It is, therefore, advisable to include a list of the sources of all annexures and exhibits, preferably at the end of the report. (1)
2. Explain the characteristics of a good report and the implications of failing to adhere to the principles of good report-writing.

See the shaded item titled, 'Key report-writing principles to remember' and present each of the eight (8) criteria (**accurate, clear and understandable, impartial and relevant, timeless, have proper conclusions, opinions only if justified, factual, must read well**) with an appropriate introductory sentence.

(Max 6 marks, available 8)

Failure to adhere to these principles **undermines the credibility** of the author, **distracts from the stated purpose**, invokes **needless queries** and **tarnishes** the professionalism of the process.

(Max 2 marks, available 4)

3. Explain the importance and relevance of the review procedure for a formal (internal) report prior to release of the report.

See the section on reviewing a report. This assessment question seeks to test your understanding of the risks and rewards of the review process for an internal report. Your answer should include the following key phrases:

- o **Author may not recognise own mistakes.**
- o **It is better if mistakes are corrected prior to release.**
- o The reviewer should test
 - ☐ **Linguistic matters**
 - ☐ **Factual accuracy** (supported by references to supporting documentation)
 - ☐ **Completeness and appropriateness**
- o Review comments – should be **positive and supportive** as opposed to **destructive and critical**.

(Max 5 marks, available 7)

LEARNING UNIT 1

FORENSIC AUDIT REPORTING

TOPIC 1.5

Qualifications and opinions

	Learning outcomes After working through this learning unit, you should be able to: • demonstrate that you understand the purpose and objectives of including qualifications or restrictions into the Factual Findings Report • differentiate between appropriate and inappropriate opinions expressed by the forensic accountant
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Qualifications (occasionally referred to as 'Restrictions and Limitations')

All forensic accountants include a section referred to as 'Qualifications' (alternatively 'Restrictions and Limitations') in their reports. The purposes of these inclusions are, *inter alia*,

- ☐ to protect the author
- ☐ to indicate scope limitations
- ☐ to indicate that no audit has been conducted in terms of South African and International Auditing Standards
- ☐ to state that no audit opinion is expressed
- ☐ to state expressly that the use of the report by third parties is restricted

Some of the common qualifications used in practice are reproduced below. These represent a selection as extracted from reports of the Office of the Auditor General, a large forensic accounting practice (major auditing firm) as well as from reports of a smaller practice. Although the wording differs, the key concepts remain consistent.

1. This report is prepared for the exclusive use of management of (*client*). This report may not be used for any other purpose without our prior written consent.
2. The (practice) does not accept any liability for any loss, either directly or indirectly,

suffered by any third party arising from the fulfilment of our mandate, except where liability is in law attributable to us.

3. The liability accepted by the (practice), in the unlikely event of a negligence claim whilst conducting this assignment, is limited to our fee. Any claims of negligence or disputes involving any of the parties mentioned herein may, as an alternative to litigation, be determined by arbitration to be conducted in accordance with the provisions of the Arbitration Act, (Act 42 of 1965).
4. This report has been prepared after examination of documentation, interviews conducted, analytical reviews and scrutiny of other information either provided to and/or located by the (practice). A significant number of documents were requested for our broader investigation and not produced for our inspection. We accordingly reserve the right to amend our findings and our conclusions should any further matters be brought to our attention.
5. The purpose of our report is to make known the findings emanating from an independent forensic audit investigation conducted at the request of the (client).
6. The report is to be used solely for the purpose and subject to the limitations set out in this paragraph. The report serves as a discussion document and may not be used for any other purpose, without our prior consent. In the case of civil litigation, criminal litigation and disciplinary hearings the document may only be used as a background document.
7. The forensic audit investigation was performed in terms of the South African Auditing Standards, **where applicable**, and the internal Guidelines for the Planning, Execution, Reporting and Follow-up of Forensic Audit Investigations. However, the findings of the investigation do not form part of any regularity or other audit report and we do not express an audit opinion thereon.
8. A limited number of copies of this report are released, and the recipients are duly recorded. The office will not accept any responsibility should the report be disclosed or released to any other party.
9. Although the work performed incorporates our understanding of the law as it stands, we do not express an opinion on the legal effect of the facts or the guilt or innocence of any person(s) or party, but merely state the facts, as they have come to our attention.
10. The report is based on the facts established from documentation provided and/or information obtained during the course of the investigation. Should any further information be obtained, it may influence the conclusion.
11. Our report is based on information obtained during the course of our work and from interviews and documentary and electronic evidence provided to us. Unless additional procedures and detailed verifications are performed in respect of the information obtained, we cannot guarantee the authenticity of the information provided to us.
12. We relied on the availability of employees for interviews and for providing us with the requested documentation and information, both in electronic and hard copy format.
13. This report is based on the facts established from documentation provided and/or information obtained during the course of the assignment. It is possible that documentation and information exists, which have not been made available to us and, therefore, we cannot comment on the completeness of the documentation or information made available to us. Should we receive any additional documentation or information after the date of this report, which impact on the results of the work performed, our findings and conclusions may be adjusted accordingly.
14. The assignment did not require us to and we did not undertake an audit in terms of South African and International Auditing Standards and, accordingly, we do not express an audit opinion based on these or any other related Standards. The findings of our

review and investigation do not form part of any audit or related report.

15. The purpose of our exercise was to investigate and report on the issues identified and recorded under the heading, “Objectives and scope of the investigation”, and to gather evidence to support our findings. We do not express a legal opinion on any issue, but merely state the facts, as they have come to our attention. We do not comment on matters of law, and such issues should be referred to your legal advisors. We also do not express any opinion on the guilt or innocence of any person.
16. This report has been prepared solely for the use of the management of and their legal advisors. As such, it should not be disclosed to any other party without the prior written consent of __, which we may, at our discretion withhold or give subject to conditions. It shall be a condition of such consent, if given, that we accept no responsibility to that third party and that any such third party will hold harmless in respect of any consequences of such disclosure. Whether or not we have given our consent, we will not accept liability or responsibility to any other party who may gain access to this report.

Opinions

There are two primary categories of forensic accounting reports, namely investigative (factual findings) reports and opinion reports. The latter is more subjective and relies on the professional judgement of the expert. A business valuation falls into this category.

The focus of this learning unit remains the Factual Findings Report, prepared in support of a financial misconduct investigation. Opinions are (or should be) rare in such reports. If they are offered, they must be restricted to financial interpretations well within the ambit of the forensic accountant's stated area of expertise. In a financial statement, the forensic accountant may express an opinion about the appropriateness of the application of accounting standards or disclosures and similar matters.

As an expert witness (see learning unit 2), the forensic accountant is entitled to express opinions on certain matters. An expert is allowed to voice his opinions on facts that fall within the scope of his expertise. The reason for this exception is that the knowledge and/or expertise of the expert on this specific subject qualify the expert to form a better opinion on the facts concerned than the court.

However, some opinions may never be expressed. For example, no forensic accountant should express an opinion on the innocence or guilt of any person. This is specifically prohibited by the Association of Certified Fraud Examiners Code of Ethics in the following words:

“A Certified Fraud Examiner, in conducting examinations, will obtain evidence or other documentation to establish a reasonable basis for any opinion rendered. No opinion shall be expressed regarding the guilt or innocence of any person or party.”



Study

- The content of this topic in this study guide
- *Fraud Examiners Manual* (pages 3.1001 to 3.1038)

Although the reference material (above) discusses hearsay from an American legal perspective, many of the concepts are based on common law and are, therefore, universal.

Assessment question



1. Explain which opinions are appropriate and which opinions are inappropriate in a forensic accounting report. (4)
2. The following is a question posed to an expert witness and the answer received during a fraud trial. Do you consider the answer to be appropriate? Defend your answer.* (3)

Q: "Professor, it is agreed that at least R254 000 was embezzled from Sands Inc. The question that I have today is whether this money was stolen by James Jones. Do you have an opinion?"

A: "Yes, he stole it."

3. The following is a question posed to an expert and the answer received during a court case for an accounting dispute. Do you consider the answer to be appropriate? Defend your answer.* (3)

Q: "Doctor, since the dispute involves both auditing strategy and fraud detection, do you consider the textbook, *Forensic and Investigative Accounting*, to be authoritative?"

A: "Yes, I do. It is an excellent book."

*Adapted from Chapter 8 in Crumbley, Heitger, Smith – Exercise 55 and 56.

Feedback on assessment question



1. Explain which opinions are appropriate and which opinions are inappropriate in a forensic accounting report.

Appropriate: Opinions of **interpretation** within the realm of the author's area of expertise and opinions **supported by factual evidence**.

Inappropriate: Opinions that do not comply with the above. More specifically, opinions that **demonstrate bias** and predisposition towards a specified outcome by implying wrongfulness and opinions relating to the **innocence or guilt of a party**.

(Max 4 marks)

2. The following is a question posed to an expert witness and the received answer during a fraud trial. Do you consider the answer to be appropriate? Defend your answer.*

Q: "Professor, it is agreed that at least R254 000 was embezzled from Sands Inc. The question that I have today is whether this money was stolen by James Jones. Do you have an opinion?"

A: "Yes, he stole it."

The answer is **inappropriate**. No expert should use words such as "stole", since it **implies wrongfulness** and indicates the author's belief that the party is guilty. A **more appropriate phrase would be "... he took it"** and even that should be a well-documented assumption, supported by reasons and not an opinion.

(Max 3 marks)

3. The following is a question posed to an expert and the received answer during a court case for an accounting dispute. Do you consider the answer to be appropriate? Defend your answer.*

Q: "Doctor, since the dispute involves both auditing strategy and fraud detection, do you consider the textbook, *Forensic and Investigative Accounting* to be authoritative?"

A: "Yes, I do. It is an excellent book."

Yes, the answer is **appropriate**. The doctor implies that the expert is highly qualified and is an expert in his field. **Experts are entitled to express their opinions** of the appropriateness or inappropriateness of authoritative works relating to their **areas of expertise**. The comment, "It is an excellent book", is clearly an opinion (not a factual statement), which suggests that in the author's opinion, the text is authoritative and relevant and that he/she endorses it.

(Max 3 marks)

LEARNING UNIT 1

FORENSIC AUDIT REPORTING

TOPIC 1.6

Verbal reporting



Learning outcomes

After working through this learning unit, you should be able to explain the various forms of verbal reporting.

Verbal reporting

Although most of the reporting by the forensic accountant is in the form of formal written reports, verbal reporting to interested stakeholders remains an integral part of every assignment.

Forensic accountants are required to provide verbal feedback in many different forums. The following are examples.

1. In an integrated forensic investigation, many parties work towards a common purpose. Clear and regular communication with these **internal parties** streamlines the process, avoids duplication and delays and enhances the professionalism of the product.
2. Communication including feedback with the **instructing client** is key to retaining a good relationship and avoiding misunderstandings and possible conflict.
3. The **executive** (including the audit committee, regulatory bodies, etc.) of the instructing client may have to make formal decisions and will have to be briefed by the forensic accountant on the matter in hand.
4. Towards the end of a forensic accounting assignment, **attorneys** are introduced to facilitate any remedial action or to institute judicial proceedings. They require comprehensive briefings on every aspect of the investigation.
5. Before the forensic accountant is called to testify, the **prosecutor** will consult with

him/her extensively in preparation for the trial.

6. The **testimony** of the forensic accountant in a judicial forum is the ultimate form of verbal reporting.
7. Under exceptional circumstances, the accountant may be instructed to conduct a **media briefing**.

In all of the above scenarios, verbal reporting occurs. The detail and the timing of the verbal reporting is dictated by operational and user requirements.

Regardless of the forum, verbal reporting addresses the 'who, what, where, when, why and how' of the subject matter of the investigation. It is very important that the forensic accountant has good oratorical skills.

When verbally reporting to the executive of the client, the forensic accountant must present all relevant information within a limited period of time. Accordingly, the verbal report should be prepared and practised in advance. It is never appropriate to provide formal feedback to an executive forum spontaneously. For these forums, a prepared presentation supported by a slide show (e.g., Microsoft PowerPoint) is most appropriate. The principles of the Executive Summary (as discussed earlier) will guide the forensic accountant. Visual aids remain very effective in these situations.

Preparation should include preparing the slide show (with hard copies thereof) and knowing enough of the matter in hand to be able to answer searching questions from the audience. It is important to establish beforehand how much time has been allocated for the verbal feedback and to prepare accordingly.

Less formal feedback to the designated official from the instructing client occurs regularly and is determined by operational developments. The content and detail of this verbal reporting vary according to user requirements. Once again, the 'who, what, where, when, why and how' of the matter in hand dominates the feedback.

The formal testifying component of the forensic accountant's task is dealt with in learning unit 2.



Read

Click on the link below: [Professional Standards | ICFP](#) and open the "Reporting standards", published by the ICFP.

Read this standard and compare it to what you have learned in learning unit 1.



Study

- The content of this topic in this study guide
- *Fraud Examiners Manual* (pages 3.1001 to 3.1038)

Although the reference material (above) discusses hearsay from an American legal perspective, many of the concepts are based on common law and are, therefore, universal.

Assessment question



1. Explain the purposes and objectives of each form of verbal reporting referred to in this topic. (14)
2. For each of these, discuss the timing (stage of the investigation), content, detail, duration and suitable venue. (28)

Feedback on assessment question



1. Explain the purposes and objectives of each form of verbal reporting referred to in this topic.

An investigation involves the collective effort of a team. Clear and regular communication with these **internal parties streamlines the process, avoids duplication and delays and enhances the professionalism of the product.**

(Max 2 marks)

The **client** requires ongoing feedback on the developing results of an investigation, since it may affect further action. It could also be **relevant in respect of extension or restriction of the mandate, budget, safeguarding of evidence, etc.**

(Max 2 marks)

Due to the nature of an assignment, the results of a disputed item must be formally communicated to the **executive of the client** for their **information and decision-making.**

(Max 2 marks)

Preparation of judicial proceedings is driven by **advocates or attorneys**. They require both comprehensive verbal and written reporting to **enable them to proceed**.

(Max 2 marks)

In every criminal matter, the **prosecutor** consults with his/her witness (factual or expert) to prepare for and to **streamline the “evidence in chief”**-phase of the testimony.

(Max 2 marks)

The final test that gives credibility to the investigation and its author is the **viva voce testimony** of the forensic accountant. This can be considered a **formal process of verbal reporting**.

(Max 2 marks)

If, and only if, specifically instructed to do so by the client, the forensic accountant may be requested to provide verbal feedback to the **media** and to answer their questions, to **enable them to report fairly and accurately on a disputed matter**.

(Max 2 marks)

2. For each of these, discuss the timing (stage of the investigation), content, detail, duration and suitable venue.

	Timing	Content	Detail	Duration	Venue
Internal parties	Ongoing	Operational	Every aspect	As required	Internal
Instructing client	At predetermined intervals or when circumstances require additional feedback	Results of operations; matters arising	As much (or little) as is considered appropriate	Depending on circumstance; depending on whether the reporting is in a meeting or telephonically	Clients premises; by arrangement; your office
Executive	At the conclusion of the internal investigation	Background; mandate; summary of results; recommend action	Executive Summary	Normally less than 1 hour, depending on severity of the matter	Client boardroom
Attorneys	At the end of the investigation	Results of findings	Detailed	As long as required; could take several sessions	Attorneys premises; your offices; clients premises

Prosecutor	Before the trial	Your testimony	Detailed	As long as required; could take several sessions	Prosecutor's office
Testimony	During the trial; evidence-in-chief phase	Your testimony	Fine detail	As long as required; could take several days	Courtroom
Media	At the end of the investigation	As instructed by your client	According to agreement	Minutes	By agreement or telephonically

Max 27 marks:

- ☐ 1 for the party = 7 in total
- ☐ ½ per category = 17½ in total
- ☐ 2½ for presentation



Reflection

Before you proceed to learning unit 2, refresh your memory with the learning outcomes of each topic in this learning unit and consider whether you will be able to answer practical assessment questions to test your knowledge of these areas.

If you are struggling with a topic, review the study material or contact your lecturer for assistance.

Learning outcomes

TOPIC 1.1

Types of reports and audience

After working through this topic, you should be able to:

- differentiate between the forensic accounting disciplines and, in particular, the types of reports that each discipline issues
- differentiate between the approach/attitude followed by the forensic accountant/auditor as opposed to that of a statutory auditor

TOPIC 1.2

Client and engagement acceptance

After working through this topic, you should know:

- how forensic auditors/accountants and other experts are appointed
- what to look for when hiring a forensic accountant/auditor and other experts



TOPIC 1.3

Letters of engagement

After working through this learning unit, you should be able to:

- demonstrate your understanding of the relevance of issuing a Letter of Engagement (also known as an Engagement Letter) at the commencement of a professional relationship
- explain the content of such a letter
- identify and avoid the pitfalls of not formalising the relationship
- criticise a Letter of Engagement in a practical scenario

TOPIC 1.4

Structure, language, review and common mistakes



After working through this learning unit, you should be able to:

- explain the typical structure and content of a Factual Findings Report
- demonstrate that you know the correct grammar and style used in a Factual Findings Report
- discuss the structure, format and content of a Factual Findings Report used in judicial proceedings
- write a professional Factual Findings Report based on the facts in a given scenario
- discuss the administrative matters relating to a Factual Findings Report
- criticise a Factual Findings Report based on a practical scenario and include identification of common mistakes (e.g., language mistakes)

TOPIC 1.5

Qualifications and opinions

After working through this learning unit, you should be able to:

- demonstrate that you understand the purpose and objectives of including qualifications or restrictions into the Factual Findings Report
- differentiate between appropriate and inappropriate opinions expressed by the forensic accountant

TOPIC 1.6

Verbal reporting

After working through this learning unit, you should be able to explain the various forms of verbal reporting.



A FINAL REFLECTION

Ideally, if you perform a forensic audit/investigation, the Letter of Engagement and the final report should be closely related. In the Letter of Engagement, you will propose to the client what you are going to do and, in the report, you will tell the client what you have done. Sometimes, it is not possible to perform all the procedures envisaged in the Letter of Engagement. (This could be because you did not have enough information or the correct

information when preparing the Letter of Engagement or because certain circumstances changed. This is why qualifications and limitations are so important!)

In such situations, you must state your initial mandate in the report and explain why you could not perform x or y, as proposed in the Letter of Engagement. This must be followed with a statement describing what was ultimately done.

In essence, all the information in the Letter of Engagement and the final report must be similar to a story, with a beginning and an end. If you proposed procedures in the Letter of Engagement, you must communicate how you performed/did not perform these procedures in the report. Any alternative procedures conducted must also be disclosed. Ideally, your findings must correspond (in sequence) to your procedures performed. This should however not come at the expense of the proper flow of the report.

If we take an easy example:

Letter of Engagement	Report (procedures)	Report (findings)
I am going to interview Jan.	I interviewed Jan on 22 April at 15:00.	In an interview held with Jan on 22 April, Jan provided information about two transactions to the value of Rx.



You have reached the end of learning unit 1!!

ENDNOTES

ⁱ Crumbley DI, Heitger IE & Smith GS. 2009. *Forensic and investigative accounting*. 4th ed. CCH (1-5).

ⁱⁱ Crumbley DI, Heitger IE & Smith GS. 2009. *Forensic and investigative accounting*. 4th ed. CCH (1-5).

ⁱⁱⁱ AICPA Business Valuation/Forensic Litigation Services Executive Committee, January 2006.

^{iv} Bologna GJ, Lindquist RJ & Wells JT. 1997. *The accountant's handbook of fraud and commercial crime*. (1993:232).

^v http://en.wikipedia.org/wiki/Forensic_accountant#cite_note-college.monster.com-0

^{vii} Crumbley DI, Heitger IE & Smith GS. 2009. *Forensic and investigative accounting*. 4th ed. CCH (1-5).

^{vii} Crumbley DI, Heitger IE & Smith GS. 2009. *Forensic and investigative accounting*. 4th ed. CCH (1-5).

^{viii} Crumbley DI, Heitger IE & Smith GS. 2009. *Forensic and investigative accounting*. 4th ed. CCH (1-5).

^{ix} <http://www.sobel-cpa.com/sites/default/files/2009%20Forensic%20Brochure.pdf>

^x http://en.wikipedia.org/wiki/Engagement_letter

^{xi} http://en.wikipedia.org/wiki/Generally_accepted_accounting_principles